

**ORIENT FINANCE PLC
COLOMBO 03**

**FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2019**



Tel : +94-11-2421878-79-70
+94-11-2387002-03
Fax : +94-11-2336064
E-mail : bdopartners@bdo.lk
Website : www.bdo.lk

Chartered Accountants
"Charter House"
65/2, Sir Chittampalam A Gardiner Mawatha
Colombo 02
Sri Lanka

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ORIENT FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Orient Finance PLC (the company), which comprise the statement of financial position as at 31st March 2019, and the income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as set out on pages 06 to 62.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the company as at 31st March 2019, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter 1: Impairment of loans and receivables

The company's gross loans and receivables amount to Rs. 15.35 billion as at 31st March, 2019 (2018: Rs. 15.71 billion) and impairment allowance for the year amount to Rs. 569 million at 31st March, 2019 (2018: Rs. 546 million).

On 01st April, 2018 the company adopted SLFRS 9: Financial Instruments ("SLFRS 9") which measures impairment using an expected credit loss ("ECL") model. The application of the new standard requires management to exercise significant judgements in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgement in the determination of estimated future cash flows, probabilities of default and forward looking economic expectations.

Due to the significance of loans and receivables and the significant estimates and judgement involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgement:

- the probability of default (PD);
- the exposure at default (EAD);
- the loss given default (LGD); and
- the effective interest rates.

BDO Partners, a Sri Lankan Partnership, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.

Partners : Sujeewa Rajapakse FCA, FCMA, MBA. Ashane J.W. Jayasekara FCA, FCMA (UK), MBA. H. Sasanka Rathnaweera FCA, ACMA. R. Vasanthakumar Bsc (Acc), ACA. F. Sarah Z. Afker ACA, ACMA (UK), CGMA, MCSI (UK). M.N. Mohamed Nabeel ACA.

In assessing loans and receivables on an individual basis, significant judgements, estimates and assumptions have been made by management to:

- Determine if the loan or advance is credit impaired;
- Evaluate the adequacy and recoverability of collateral;
- Determine the expected cash flows to be collected; and
- Estimate the timing of the future cash flows.

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 9 - Impairment charges for loans and receivables to customers
- Note 15.3 - Impact on transition to SLFRS 9 on the company's financial statements
- Note 18 - Loans and receivables to customers

How our audit addressed the key audit matter

Our procedures included the following:

- We obtained an understanding of management's process and tested controls over credit origination, credit monitoring and credit remediation.
- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the company's source documents and information in IT systems.
- We also considered reasonableness of macro-economic and other factors used by management by comparing them with publicly available data and information sources.

For loans and receivables individually assessed for impairment:

- We assessed the main criteria used by the management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.

We also assessed the adequacy of the related financial statement disclosures including the disclosure on the impact of the initial adoption of SLFRS 9.

Key audit matter 2: Impairment of Goodwill and Brand Value

The company carries out an impairment review of goodwill and brand value at least annually or whenever there is an impairment indicator in accordance with Sri Lanka Accounting Standards.

This was considered a matter of significance to our audit due to the materiality of the carrying value of the goodwill and brand value balances which amount to Rs. 565 million and Rs 236 million respectively as at 31st March 2019 and because the directors' assessment of impairment involves significant judgement.

Goodwill and brand value were recognized in the financial statements, upon the company (former Bartleet Finance PLC) acquired and amalgamated former Orient Finance PLC during the financial year ended 31st March 2016.

As per LKAS 36: Impairment of Assets, the company is required to annually test for impairment of goodwill and brand. Impairment is assessed by comparing the carrying value of assets against the recoverable amount. The company determines the recoverable amount of goodwill and brand value based on value in use method, by using the discounted cash flow model. In carrying out its assessment, for the purposes of cash flow forecasts, the company projects future cash flows based on approved budgets. These cash flows are discounted using applicable discount rates.

Based on the impairment test performed for goodwill and brand value as explained above, the company concluded that both goodwill and brand value have not been impaired as at 31st March 2019.

The disclosure associated with impairment assessment of goodwill and brand value is set out in note 23 to the financial statements.

How our audit addressed the key audit matter

We have tested management's assessment of the impairment of goodwill and brand value as at 31st March 2019.

Our work included the following procedures:

- We evaluated the management competence and level of skills required in developing assumptions, gathering accurate data and performing assessment.
- We assessed the validity of management's use of appropriate method in assessing the impairment for goodwill and brand value.
- We challenged the key inputs and assumptions the company has used in assessing the impairment.
- We carried out calculations on the impairment assessment to determine the degree by which the key assumptions would need to change in order to trigger an impairment.
- We tested the appropriateness of the related disclosures provided in the company's financial statements.

Other information

Management is responsible for the other information. The other information comprises the information include in the Annual Report. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures, are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with Those Charged with Governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide Those Charged with Governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3890.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

28th June, 2019

VR/dm

For the Year Ended 31st March

	Note	2019 Rs.	2018 Rs.
Income	4	3,493,414,220	3,496,108,852
Interest income	5	3,239,037,768	3,311,048,574
Interest expenses	6	(1,949,919,167)	(2,116,906,558)
Net interest income		1,289,118,601	1,194,142,016
Fee and commission income	7	179,130,466	112,111,650
Other operating income	8	75,245,986	72,948,628
Total operating income		1,543,495,053	1,379,202,294
Impairment charges for loans and receivables to customers	9	(569,295,204)	(545,680,634)
Net operating income		974,199,849	833,521,660
Operating expenses			
Personnel expenses	10	(387,926,335)	(369,855,285)
Depreciation and amortization		(28,558,126)	(23,437,189)
Other operating expenses	11	(462,747,489)	(488,580,521)
Operating profit/(loss) before Value Added Tax and NBT		94,967,899	(48,351,335)
Value Added Tax and NBT on financial services		(63,092,637)	(55,366,426)
Profit /(loss) before income tax		31,875,262	(103,717,761)
Income tax expense	12	(2,846,204)	(6,528,018)
Profit/(loss) for the year		29,029,058	(110,245,779)
Basic earnings per share (Rs.)	13.1	0.20	(0.74)
Dividend per share (Rs.)	14	-	0.25

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 62 form an integral part of these financial statements.

Colombo
28th June, 2019

For the Year Ended 31st March

	Note	2019 Rs.	2018 Rs.
Profit/(loss) for the year		29,029,058	(110,245,779)
Other comprehensive income/(expenses)			
Other comprehensive income/(expenses) to be re-classified to profit or loss in subsequent periods			
Change in fair value of financial assets at fair value through other comprehensive income		855,067	1,759,556
Revaluation of Land and Building	25	32,032,082	-
Deferred tax effect on above	22	(3,203,208)	-
		<u>29,683,941</u>	<u>1,759,556</u>
Other comprehensive income/(expenses) not to be re-classified to profit or loss in subsequent periods			
Actuarial gain/(loss) on retirement benefit plan	33.1	1,775,361	(1,567,022)
Deferred tax effect on above	22	497,101	(438,766)
		<u>2,272,462</u>	<u>(2,005,788)</u>
Other comprehensive income/(expenses) for the year net of tax		<u>31,956,403</u>	<u>(246,232)</u>
Total comprehensive income/(expenses) for the year net of tax		<u><u>60,985,461</u></u>	<u><u>(110,492,011)</u></u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 62 form an integral part of these financial statements.

Colombo
28th June, 2019

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

Page 3

As At 31st March

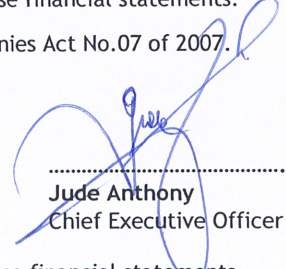
	Note	2019 Rs.	2018 Rs.
ASSETS	15		
Cash and cash equivalents	16	181,741,883	195,581,111
Financial assets - fair value through other comprehensive income	17	936,939,610	945,559,444
Loans and receivables	18	14,033,759,660	14,504,333,754
Investments with banks and other financial institutions	19	286,253,330	754,474,257
Other assets	20	252,392,826	210,103,729
Real estate stock	21	16,772,709	16,779,715
Deferred tax asset	22	371,088,939	270,475,120
Goodwill	23	564,545,746	564,545,746
Brand value	23.1	235,880,000	235,880,000
Intangible assets	24	1,505,430	1,975,920
Property, plant and equipment	25	78,163,766	415,618,078
Investment properties	26	400,600,002	-
Total assets		17,359,643,901	18,115,326,874
LIABILITIES	15		
Due to banks - bank overdrafts	16	610,624,135	138,490,215
Deposits from customers	27	10,479,531,283	11,852,625,030
Interest bearing borrowings	28	2,091,868,611	1,806,789,942
Term debts	29	1,012,265,985	998,261,067
Redeemable preference shares	30	512,216,926	456,209,985
Other liabilities	32	436,331,176	462,984,472
Non-interest bearing security deposits		-	41,831
Retirement benefit obligations	33	50,305,976	51,873,885
Total liabilities		15,193,144,092	15,767,276,427
EQUITY			
Stated capital	34	1,378,689,779	1,378,689,779
Statutory reserve fund	35	306,478,542	305,274,930
Revaluation reserve	36	141,120,773	112,291,899
Available for sale reserve	37	-	213,964
Fair value reserve	37	1,069,031	-
Retained earnings		339,141,684	551,579,875
Total equity		2,166,499,809	2,348,050,447
Total equity and liabilities		17,359,643,901	18,115,326,874
Net assets per share		14.64	15.86

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 62 form an integral part of these financial statements.

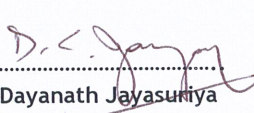
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

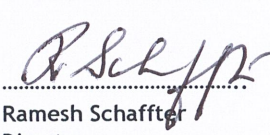

Sanjeeva Jayasinghe
Senior Manager - Finance


Jude Anthony
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.


Dr. Dayanath Jayasuriya
Chairman


Ramesh Schaffter
Director

Colombo
28th June, 2019
VR/dm



ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

Page 4

For the year ended 31st March 2019

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Available for sale reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	-	700,836,035	2,499,727,060
Profit/(Loss) for the year	-	-	-	-	-	(110,245,779)	(110,245,779)
Other comprehensive income net of taxes	-	-	-	1,759,556	-	(2,005,788)	(246,232)
Revaluation gain on land written off	-	-	(4,180,009)	-	-	-	(4,180,009)
Dividend Paid	-	-	-	-	-	(37,004,593)	(37,004,593)
Transfer to statutory reserve	-	-	-	-	-	-	-
Balance as at 31st March, 2018	<u>1,378,689,779</u>	<u>305,274,930</u>	<u>112,291,899</u>	<u>213,964</u>	<u>-</u>	<u>551,579,875</u>	<u>2,348,050,447</u>
Impact on adoption of SLFRS 09							
Recognition of SLFRS 09 ECLs	-	-	-	-	-	(336,855,693)	(336,855,693)
Deferred Tax on transitional adjustment	-	-	-	-	-	94,319,594	94,319,594
Transfer to fair value reserve	-	-	-	(213,964)	213,964	-	-
Restated balance under SLFRS 9 as at 01st April, 2018	<u>1,378,689,779</u>	<u>305,274,930</u>	<u>112,291,899</u>	<u>-</u>	<u>213,964</u>	<u>309,043,776</u>	<u>2,105,514,348</u>
Profit/(Loss) for the year	-	-	-	-	-	29,029,058	29,029,058
Other comprehensive income (expense) net of taxes	-	-	-	-	855,067	2,272,462	3,127,529
Revaluation of land and buildings	-	-	32,032,082	-	-	-	32,032,082
Deferred tax effect on revaluation	-	1,203,612	(3,203,208)	-	-	(1,203,612)	(3,203,208)
Balance as at 31st March, 2019	<u>1,378,689,779</u>	<u>306,478,542</u>	<u>141,120,773</u>	<u>-</u>	<u>1,069,031</u>	<u>339,141,684</u>	<u>2,166,499,809</u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 62 form an integral part of these financial statements.

Colombo
28th June, 2019

For the year ended 31st March

	2019 Rs.	2018 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	31,875,262	(103,717,761)
Adjustment for:		
Depreciation/amortization	29,028,616	23,437,189
Loss on disposal of property, plant and equipment	(52,313)	3,265,316
Impairment charges for loans and receivables to customers	569,295,204	545,680,634
Finance expenses	1,949,919,167	2,116,906,558
Profit on sale of real estate	-	(4,868,206)
Investment income	(156,669,506)	(153,343,909)
Provision for gratuity	10,732,336	11,159,696
Operating profit/(Loss) before working capital changes	2,434,128,766	2,438,519,517
Change in loans and receivables to customers	(435,576,803)	1,366,088,756
Change in other assets	(42,289,097)	(14,514,125)
Change in deposits from customers	(1,329,754,438)	2,187,323,849
Change in other liabilities	(26,653,296)	(68,607,558)
	599,855,132	5,908,810,439
Interest paid	(1,850,685,994)	(1,866,047,309)
Income tax paid	(12,840,738)	(2,498,544)
Gratuity paid	(10,524,884)	(5,752,118)
Net cash from/(used in) operating activities	(1,274,196,484)	4,034,512,468
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(59,547,042)	(27,222,665)
Proceeds from sale of property, plant and equipment	-	166,835
Proceeds from sale of real estate	7,006	10,558,015
Net change in available for sale financial assets	9,474,901	(103,912,819)
Net change in investments with bank and other financial institutions	468,220,927	(385,314,193)
Investment income received	156,669,506	153,343,909
Net cash generated from/(used in) investing activities	574,825,298	(352,380,918)
Cash flows from financing activities		
Interest bearing borrowings obtained	4,578,904,726	3,344,000,000
Repayment of interest bearing borrowings	(4,275,006,688)	(6,351,178,527)
Interest paid on debentures	(90,500,000)	(90,500,000)
Dividend paid	-	(37,004,593)
Net cash generated from/(used in) financing activities	213,398,038	(3,134,683,120)
Net change in cash and cash equivalents	(485,973,148)	547,448,430
Cash and cash equivalents at the beginning of the year	57,090,896	(490,357,534)
Cash and cash equivalents at the end of the year (Note A)	(428,882,252)	57,090,896
Analysis of cash and cash equivalents at the end of the year		Note A
Cash in hand	162,415,514	141,293,580
Cash at bank	19,326,369	54,287,531
Bank overdrafts - secured	(610,624,135)	(138,490,215)
	(428,882,252)	57,090,896

The accounting policies and notes on pages 06 to 62 form an integral part of these financial statements.

Figures in brackets indicate deductions.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY**1.1 Corporate information**

Orient Finance PLC (the “company”) is a Public Limited Company incorporated and domiciled in Sri Lanka under the Companies Act No. 07 of 2007 and approved under Finance Lease Act, No. 56 of 2000 and Finance Business Act No. 42 of 2011 and is listed in the Colombo Stock Exchange.

The registered office of the company is located at No. 02, Deal Place, Colombo-03 and the business is carried out at 61, Dharmapala Mawatha, Colombo 07.

1.2 Principal activities and nature of operations

The principal activities of the company are comprised of finance leasing, hire purchasing, debt factoring, mobilization of deposits and pawning (gold loans) advances.

1.3 Parent entity and ultimate parent entity

In the opinion of the directors, the company’s parent undertaking is Janashakthi PLC.

1.4 Directors' responsibility statement

The board of directors takes the responsibility for the preparation and presentation of the financial statements of the company as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKAS and SLFRS.

1.5 Date of authorization

The financial statements of the company for the year ended 31 March 2019 were authorized to issue by the board of directors on 28th June, 2019.

2. BASIS OF PREPARATION**2.1 Statement of compliance**

The statement of financial position as at 31st March, 2019 income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows, and the summary of significant accounting policies and other explanatory information to the financial statements (“financial statements”) of the company for the year then ended, comply with the Sri Lanka Accounting Standards (SLFRSs /LKASs) as laid down by the Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007 and the Finance Business Act No. 42 of 2011 and amendments thereto, and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis except for the following material items in the statement of financial position;

Item	Basis of measurement
Financial assets measured at fair value through other comprehensive income (from April 1, 2018)	Fair value
Financial assets available for sale (Up to March 31, 2018)	

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Item	Basis of measurement
Retirement benefit obligation	Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.
Investment property: Land and Buildings	Fair value

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee unless stated otherwise.

2.4 Presentation of financial statements

The assets and liabilities of the company presented in its statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the financial statements. Maturity analysis is presented in note 39 to the financial statements.

2.5 Materiality and aggregation

In compliance with LKAS 01 on "Presentation of Financial Statements", each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the income statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the notes to the financial statements.

2.6 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year. The company has not restated the comparative information for 2017/2018 for financial instruments within the scope of Sri Lanka Accounting Standard - SLFRS 9 on "Financial Instruments" (SLFRS 9). Therefore, the comparative information for 2017/2018 is reported under Sri Lanka Accounting Standard - LKAS 39 on "Financial Instruments: Recognition and Measurement" (LKAS 39) and is not comparable to the information presented for 2017/2018. Differences arising from adoption of SLFRS 9 have been recognised directly in equity as of April 1, 2018 and are disclosed in Note 15.3.

2.7 Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with Sri Lanka Accounting Standards (LKAS and SLFRS) requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected.

The most significant areas of estimation, uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements of the Company are as follows:

2.7.1 Going concern

The company's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast a significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.7.2 Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish fair values.

2.7.3 Classification of financial assets and liabilities

Applicable from April 1st, 2018

As per SLFRS 9, the Significant Accounting Policies of the company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- The entity's business model for managing the financial assets as set out in Note 3.1.3.1.
- The contractual cash flow characteristics of the financial assets as set out in Note 3.1.3.2.

2.7.4 Impairment losses on financial assets

The measurement of impairment losses both under SLFRS 9 and LKAS 39 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions about a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer Notes 09 and 18 for more details relating to impairment loss assessment on financial assets.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS**2.7.5 Defined benefit obligation**

The cost of the defined benefit pension plan is determined using an actuarial valuation. The actuarial valuation involves making various assumptions determining the discount rates, future salary increases, mortality rates etc. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

2.7.6 Useful economic lives of property, plant and equipment

Useful economic lives of property, plant and equipment are estimated as disclosed in the note 3.3.4 to the financial statements.

2.8 Changes in Accounting Policies

The company has consistently applied the Accounting Policies to all periods presented in these Financial Statements, except for the changes arising out of transition to SLFRS 9 and Sri Lanka Accounting Standard - SLFRS 7 (revised) on "Financial Instruments: Disclosures" (SLFRS 7) and Sri Lanka Accounting Standard - SLFRS 15 "Revenue from Contracts with Customers" (SLFRS 15) as set out below:

2.8.1 New and amended standards and interpretations

In these financial statements, the company has applied SLFRS 9, SLFRS 7 and SLFRS 15, which are effective for the annual reporting periods beginning on or after January 1, 2018, for the first time. The company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

2.8.1.1 SLFRS 9 - Financial Instruments

SLFRS 9 issued in December 2014 replaced LKAS 39 and is applicable for annual reporting periods beginning on or after January 1st, 2018.

In accordance with the option given in SLFRS 9 not to restate the comparatives, the company has not restated comparative information for 2017/2018 for financial instruments within the scope of SLFRS 9. Therefore, comparative information for 2017/2018 is reported under LKAS 39 and is not comparable with the information presented for 2018/2019.

Differences arising from the adoption of SLFRS 9 have been recognised directly in equity as of April 01st, 2018 and are disclosed in Note 15.3.

2.8.1.1.1 Changes to classification and measurement

To determine their classification and measurement category, SLFRS 9 requires all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets' and the instruments' cash flow characteristics.

Classification and measurement categories as specified in LKAS 39 for financial assets (FVTPL, HTM, L&R and AFS) have been replaced by:

- Financial assets measured at amortised cost
- Financial assets measured at Fair value through other comprehensive income (FVOCI)
- Financial assets measured at Fair value through profit or loss (FVTPL)

FVOCI includes debt and equity instruments measured at fair value through other comprehensive income. On derecognition of debt instruments measured at FVOCI, cumulative gains or losses are recycled to profit or loss. However, cumulative gains or losses on derecognition of equity instruments measured at FVOCI are not reclassified to profit or loss and are transferred directly to retained earnings.

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities. However, under LKAS 39, all fair value changes of liabilities designated under the fair value option were recognised in profit or loss. Under SLFRS 9 fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in Other Comprehensive Income (OCI); and
- The remaining amount of change in the fair value is presented in profit or loss.

Note 3.1.4 provides an explanation on how the company classifies financial liabilities under SLFRS 9.

The following assessments have been made on the basis of the facts and circumstances that existed at the transition date: i.e. April 1, 2018.

- The determination of the business model within which a financial asset is held.
- The designation and revocation of previous designations of certain financial assets and financial liabilities as measured at FVTPL.
- The designation of certain investments in equity instruments not held for trading as at FVOCI.
- For financial liabilities designated at FVTPL, the determination of whether presenting the effects of changes in the financial liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss.

The company's classification of its financial assets and liabilities is given in Notes 3.1.3 and 3.1.4. The quantitative impact of applying SLFRS 9 as at April 1, 2018 is disclosed in Note 15.3.

2.8.1.1.2 Changes to the impairment calculation

The adoption of SLFRS 9 has fundamentally changed the company's accounting for loan loss impairments by replacing the incurred loss approach under LKAS 39 with a forward-looking expected credit loss (ECL) approach. SLFRS 9 requires the company to record an allowance for ECLs for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts but not to equity investments. Under SLFRS 9, credit losses are recognised earlier than under LKAS 39.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

The allowance is based on the ECLs associated with the PD in the next twelve months unless there has been a significant increase in credit risk since origination. Lifetime expected credit loss is provided for financial assets for which the credit risk has increased significantly from initial recognition and the credit impaired assets subsequent to initial recognition. If the financial asset meets the definition of purchased or originated credit impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset.

If a debt security had a low credit risk at the date of initial application of SLFRS 9, then the company has assumed that credit risk on the asset had not increased significantly since its initial recognition.

Details of the company's impairment method are disclosed in Note 3.1.10.

2.8.1.2 SLFRS 7 (Revised) - Financial Instruments: Disclosures

The company adopted SLFRS 7 together with SLFRS 9, effective from April 1, 2018. Changes including transition disclosures as shown in Note 15.3 together with detailed qualitative and quantitative information about the ECL calculations such as the assumptions and inputs used are disclosed as per the requirements of the Standards in Notes 3.1.10 and 18.

Movements during the year in the ECL allowances are presented in Note 18.

2.8.1.3 SLFRS 15 - Revenue from contracts with customers

SLFRS 15 replaces revenue recognition guidance, including LKAS 18 on "Revenue", LKAS 11 on "Construction Contracts" and IFRIC 13 on "Customer Loyalty Programmes" and is effective for annual reporting periods beginning on or after January 1, 2018.

SLFRS 15 provides a comprehensive framework for determining whether, how much, and when revenue is recognised. SLFRS 15 requires new qualitative and quantitative disclosures aimed at enabling users of Financial Statements to understand the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers.

Entities are required to apply a five-step model to determine when to recognise revenue and at what amount. The model specifies that revenue is recognised when or as an entity transfers control of goods and services to a customer at the amount at which the entity expects to be entitled.

There is no significant impact on the Financial Statement of the company resulting from the application of SLFRS 15.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements of the company unless otherwise indicated.

3.1 Financial instruments - Initial recognition, classification and subsequent measurement**3.1.1 Date of recognition**

The company initially recognises loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Note 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

Transaction costs in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the Income Statement.

Trade receivables that do not have a significant financing component are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have a significant financing component) at initial recognition differs from the transaction price, the company accounts for the Day 1 profit or loss, as described below:

3.1.2.1 “Day 1” profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is de-recognised.

3.1.3 Classification and subsequent measurement of financial assets

From April 1, 2018 as per SLFRS 9, the company classifies all of its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at either:

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.

Up to March 31, 2018 as per LKAS 39, the company classified its financial assets into one of the following categories:

- Financial assets at fair value through profit or loss (FVTPL), and within this category,
 - Held for trading
 - Designated at fair value through profit or loss

- Loans and receivables
- Held to maturity
- Available for sale

Details of the impact on reclassification and measurement from LKAS 39 to SLFRS 9 are disclosed in transition disclosures given in Note 15.3.

3.1.3.1 Business model assessment

With effect from April 1, 2018, the company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument -by- instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the company's management;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods and the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the company's original expectations, the company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely payments of principal and interest (SPPI test)

As a second step of its classification process the company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimising exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely payments of principal and interest on principal amount outstanding, the company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains such a contractual term that could change the timing or amount of contractual cash flows that it would not meet this condition. In making the assessment, the company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the company's claim to cash flows from specified assets; and
- features that modify consideration of the time value of money.

Refer Notes 3.1.3.3 and 3.1.3.4 below for details on different types of financial assets recognised in the Statement of Financial Position (SFP).

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortised cost are given in Notes 3.1.3.3.1 to 3.1.3.3.3 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the company.

Details of "Loans and advances to customers" are given in Notes 18.

3.1.3.3.2 Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to the financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

Details of "Cash and cash equivalents" are given in Notes 16.

3.1.3.3.3 Investments with banks and other financial institutions

Details of “Investments with banks and other financial institutions” are given in Notes 19.

3.1.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset’s cash flows represent payments that are solely payments of principal and interest on principal outstanding.

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses and ECL and reversals are recognised in profit or loss. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

These instruments comprise Government Securities that had previously been classified as available for sale.

Details of “Debt instruments at FVOCI” are given in Note 17.

3.1.3.4.2 Equity instruments designated at FVOCI

Upon initial recognition, the company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI.

These instruments comprise unquoted shares that had been previously classified as Available for sale under LKAS 39.

Details of “Equity instruments at FVOCI” are given in Note 17.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as -
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortised cost

Financial liabilities issued by the company that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Deposits from customers”, “Due to banks” or “Other borrowings” as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortisation is included in “Interest expense” in the Income Statement. Gains and losses too are recognised in the Income Statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.

3.1.5.2 Measurement of reclassification of financial assets

3.1.5.2.1 Reclassification of Financial Instruments at ‘Fair value through profit or loss’

- To Fair value through other comprehensive income
The fair value on reclassification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value is recognized in OCI.
- To Amortised Cost
The fair value on reclassification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.

3.1.5.2.2 Reclassification of Financial Instruments at ‘Fair value through other comprehensive income’

- To Fair value through profit or loss
The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.
- To Amortised Cost
The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortised cost.

EIR determined at initial recognition and gross carrying amount is not adjusted as a result of reclassification.

3.1.5.2.3 Reclassification of Financial Instruments at “Amortised Cost”

- To Fair value through other comprehensive income
The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.
- To Fair value through profit or loss
The fair value on the reclassification date becomes the new carrying amount. The difference between amortised cost and fair value is recognised in profit and loss.

3.1.6 De-recognition of financial assets and financial liabilities

3.1.6.1 Financial assets

The company de-recognises a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the company neither transfers nor retains substantially all risks and rewards of ownership and it does not retain control of the financial asset.

3.1.6.2 Financial liabilities

The company de-recognises a financial liability when its contractual obligations are discharged, cancelled or expire.

3.1.7 Modification of financial assets and financial liabilities

3.1.7.1 Financial assets

If the terms of a financial asset are modified, the company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the company recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

As per LKAS 39, if the terms of a financial asset were modified because of financial difficulties of the borrower and the asset was not de-recognised, then impairment of the asset was measured using pre-modification interest rate.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

3.1.9 Amortised cost and gross carrying amount

The "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortised cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 48.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a “three-stage” model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the company determines when a significant increase in credit risk has occurred.
- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.3 for a description on how the company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The company does not have POCI loans as at the reporting date.

The key judgements and assumptions adopted by the company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the company’s historical experience and expert credit assessment and including forward looking information.

The company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 60 days past due in accordance with the rebuttable presumption in SLFRS 9.

The company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments.
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments.
- When the value of collateral is significantly reduced and/or realisability of collateral is doubtful.
- When a customer is subject to litigation that significantly affects the performance of the credit facility.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- When the customer is deceased/insolvent.
- When the company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

For debt instruments having an external credit rating, which are measured at amortised cost or at FVOCI, the company determines significant increase in credit risk based on the generally accepted investment/non-investment grade definitions published by international rating agencies. Debt instruments are moved to stage 2 if their credit risk increases to the extent that they are no longer considered investment grade.

3.1.11.3 Definition of default and credit impaired assets

The company considers loans and advances to customers as defaulted when:

- The borrower is unlikely to pay its obligations to the company in full, without recourse by the company to actions such as realising security (if any is held); or
- The borrower becomes 180 days past due on its contractual payments.

In addition, the company classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is “default”.

In assessing whether a borrower is in default, company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The company considers non performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.

3.1.11.4 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

3.1.11.5 Grouping financial assets measured on collective basis

The company calculates ECLs either on a collective or an individual basis. Asset classes where the company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

Those financial assets for which, the company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on a collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.6 The Calculation of Expected Credit Loss Principle (ECL)

The company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.
- EAD: Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract or otherwise, expected draw down on committed facilities and accrued financing income from missed payments.
- LGD: Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral.

Forward-looking information

The company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.

The company has identified key drivers of credit risk both quantitatively and qualitatively for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security.

3.2 Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Level 1

When available, the company measures fair value of an instrument using active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an asking price), without any deduction for transaction costs. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses, credit models, option pricing models and other relevant valuation models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the company, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument. The company calibrates valuation techniques and tests them for validity using prices from observable current market transactions in the same instrument or based on other available observable market data.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets.

When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Level 3

Certain financial instruments are recorded at fair value using valuation techniques in which the current market transactions or observable market data are not available. Their fair value is determined by using valuation models that have been tested against prices or inputs to actual market transactions and also using the best estimate of the most appropriate model assumptions. Models are adjusted to reflect the spread for bid and ask prices to reflect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognised only when the inputs become observable or on de-recognition of the instrument.

3.3 Inventories

Inventories consist of stationaries purchased for the office use. Inventories are measured at lower of cost or net realizable value.

Cost of inventories is based on the first in first out principle, and includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

3.4 Property, plant and equipment

Property, plant and equipment are tangible items that are held for use in the supply of services, or for administrative purposes and are expected to be used for more than a one year period.

3.4.1 Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The company applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the company and the cost of the asset can be reliably measured

3.4.2 Measurement

Land and Buildings are stated at revalued amounts, net of accumulated depreciation.

Other property, plant and equipment are stated at cost or valuation less accumulated depreciation and accumulated impairment losses.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the cost of dismantling and removing the items and restoring the site on which they are located.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit and loss.

Purchased software that is integrated to the functionality of the related equipment is capitalized as intangible assets.

The company applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and buildings of the company are revalued by independent professional valuers more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair values as at the reporting date.

3.4.3 Subsequent expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item, if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The cost of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred. When replaced costs are recognized in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognized.

3.4.4 Depreciation

Depreciation is recognized in the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease terms and other useful lives unless it is reasonably certain that the company will obtain ownership by the end of the lease period.

The estimated useful lives are as follows:

Furniture and fittings	4 years
Office equipment	4 years
Computer equipment	4 years
Motor vehicles	4 years

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale (or included in a disposal group that is classified as held for sale) and the date that the asset is derecognized.

Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5 Investment Properties

Investment properties are properties held either to earn rental income or for capital appreciation or for both. They are not properties held for sale in the ordinary course of business, used in the production or supply of goods or service or for administrative services.

3.5.1 Basis of recognition

Investment property is recognised if it is probable that future economic benefits that are associated with the investment property will flow to the company and if the cost of the investment property can be measured reliably.

3.5.2 Measurement

An investment property is measured initially at its cost. The cost of a purchased investment property comprises its purchase price and any directly attributable expenditure. The carrying amount includes the cost of replacing part of an existing Investment Property at the time that the cost is incurred if the recognition criteria are met, and excludes the cost of day-to-day servicing of an Investment Property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the income statement in the year in which they arise. The company revalues investment property at least once in three years.

3.5.3 Derecognition

Investment Properties are de-recognised when either they have been disposed of or when the Investment Property is permanently withdrawn from use and no future economic benefits are expected from its disposal. Any gains or losses arising on the retirement or disposal of an Investment Property are recognised in the income statement in the year of retirement or disposal.

3.6 Finance and operating leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

3.6.1 Finance lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets but not necessarily a legal title, are classified as finance leases. When the company is a lessor under a finance lease the amounts due under the lease, after deduction of unearned charges, are included in 'loans and receivables from customers'. The finance income receivable is recognised in 'interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'property, plant and equipment' and the corresponding liability to the lessor is included in 'other liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

3.6.2 Operating lease

All other leases are classified as operating leases. When acting as lessor, the company includes the assets subject to operating leases in 'property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the company is the lessee, leased assets are not recognised in the statement of financial position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'general and administrative expenses' and 'other operating income', respectively.

3.7 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

3.7.1 Intangible assets with finite lives and amortization

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function/nature of the intangible asset. Amortization is commenced when the assets are available for use.

3.7.1.1 Computer software

Computer software is amortized over four years from the date of acquisition.

3.7.2 Intangible assets with indefinite lives and amortization

Intangible assets with indefinite useful lives are not amortized but are tested for impairment annually either individually or at the CGU level as appropriate, when circumstances indicate that the carrying value is impaired. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

3.7.2.1 Brand value

Brand value is not amortized and is tested for impairment annually.

3.7.3 Derecognition of intangible assets

Intangible assets are derecognized on disposal or when no future economic benefits are expected from its use. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net proceeds and the carrying amount of the asset and are recognized in the income statement.

3.8 Impairment of non-financial assets

3.8.1 Recognition

The carrying values of the company's assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists, the asset's recoverable amount is estimated (see below). An impairment loss is recognized whenever the carrying amount of asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognized in the income statement.

For the assets that have indefinite useful life and intangible assets that are not yet available for use, the recoverable amount is estimated at each reporting date.

3.8.2 Calculation of recoverable amount

The recoverable amount is the greater of their fair value less cost to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects the current market assessment of their time value of money and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

3.8.3 Reversal of impairment

An impairment loss is reversed if there is a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.9 Deposits due to customers

These include term deposits and certificates of deposits. Subsequent to initial recognition, deposits are measured at their amortised cost using the effective interest method, except where the company designates liabilities at fair value through profit or loss. They are stated in the statement of financial position at amount payable. Interest paid / payable on these deposits based on effective interest rate is charged to the income statement.

3.10 Debt securities issued and subordinated term debts

These represent the funds borrowed by the company for long-term funding requirements. Subsequent to initial recognition debt securities issued are measured at their amortised cost using the effective interest method, except where the company designates debt securities issued at fair value through profit or loss. Interest paid/payable is recognised in the income statement.

3.11 Other liabilities

Other liabilities are recorded at amounts expected to be payable at the reporting date.

3.12 Employee benefits

3.12.1 Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an employee benefit expense in profit or loss in the periods during which services are rendered by employees.

3.12.1.1 Employees' Provident Fund (EPF)

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved provident fund.

3.12.1.2 Employees' Trust Fund (ETF)

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

3.12.2 Defined benefit plans

3.12.2.1 Retirement benefit obligations

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods: and that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed by a qualified actuary using a "Projected Unit Credit" method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used. The assumptions based on which the results of actuarial valuation was determined are included in the note 31 to the financial statements.

The company recognizes all actuarial gains and losses arising from the defined benefit plan and all expenses related to defined benefit plans in the income statement and actuarial gains and losses in the other comprehensive income.

This retirement benefit obligation is not externally funded.

However, according to the payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service with the company.

3.12.3 Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.13 Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation and the amount of the provision can be measured reliably in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

3.14 Capital commitments and contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitment and contingent liabilities of the company are disclosed in the respective notes to the financial statements.

3.15 Events occurring after the reporting date

All material events after the reporting period have been considered and where appropriate adjustments or disclosures have been made in the respective notes to the financial statements.

3.16 Income statement

3.16.1 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria are ascertained before revenue is recognised.

3.16.1.1 Interest income and interest expense

Interest income and expense are recognised in the Income Statement using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

As per LKAS 39, the interest income and expense recognised in the Income Statement included:

- Interest on loans and receivables calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.16.1.2 Dividend income

Dividend income is recognised when the company's right to receive the payment is established.

3.16.1.3 Fees and commission income and expense

Fees and commission income and expense that are integral to the EIR on a financial asset or liability are included in the measurement of the EIR. Other fees and commission income are recognised as the related services are performed.

3.16.1.4 Interest on overdue rentals

Overdue interest is charged on loans and advances which are not paid on the due date and accounted for on the cash basis.

3.16.1.5 Profit or loss on disposal of property, plant and equipment

Profits or losses resulting from disposal of property, plant and equipment have been accounted in the income statement.

3.16.1.6 Recovery of bad and doubtful debts written off

Recovery of amounts written off as bad and doubtful debts is recognized on a cash basis.

3.16.2 Expenditure

All expenditure incurred in running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to revenue in arriving at the profit for the year.

Expenditure incurred for the purpose acquiring, expanding or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Repairs and renewals are charged to revenue in the year in which the expenditure is incurred.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability.

The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

The profit earned by the company before taxation as shown in the Income Statement is after making provision for all known liabilities and for the depreciation of property, plant and equipment.

3.16.2.1 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for the intended use or sale, are capitalized as part of the asset.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.17 Taxes

3.17.1 Income tax expense

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognized directly in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto, at the rates specified in the note 12 to the financial statements. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense as required by the Sri Lanka Accounting Standard - LKAS 12 on 'Income Taxes'.

Deferred Tax

Deferred tax is provided on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted by the reporting date.

Deferred tax assets including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

3.17.2 Value Added Tax on financial services

VAT on financial services is calculated in accordance with the amended VAT Act No.07 of 2003. The Base for the computation of VAT on financial services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

3.17.3 Withholding Tax on dividends

Dividends distributed out of taxable profit of the local companies attract a 10% deduction at source and are not available to be set off against the tax liability of the company. Withholding Tax that arises from the distribution of dividends by the company is recognized at the same time as the liability to pay the related dividends is recognized.

3.17.4 Nation Building Tax (NBT) on financial services

NBT on financial services is calculated in accordance with Nation Building Tax (Amendment) Act No. 10 of 2014. NBT on financial services is payable on the same base subject to Value Added Tax on financial services.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.17.5 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No. 12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently, the CIL is payable at 1% of the profit after tax.

3.18 Earnings per share

The financial statements present basic earnings per share (EPS) for its ordinary shareholders. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.19 Cash flow statement

The cash flow statement has been prepared using the “indirect method”. Interest paid are classified as operating cash flows, interest and dividend received are classified as investing cash flows while dividends paid are classified as financing cash flows for the purpose of presenting of the cash flow statement.

3.20 Regulatory provisions**3.20.1 Deposit insurance scheme**

In terms of the Finance Companies Direction No 2 of 2010 “Insurance of Deposit Liabilities” issued on 27th September 2010 all registered finance companies are required to insure their deposit liabilities in the deposit insurance scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32A to 32E of the Monetary Law Act with effect from 01st October, 2010. Deposits to be insured include demand, time and savings deposit liabilities and exclude the following:

- Deposit liabilities to member institutions.
- Deposit liabilities to Government of Sri Lanka.
- Deposit liabilities to shareholders, directors, key management personnel and other related parties as defined in Finance Companies Act Direction No 03 of 2008 on Corporate Governance of registered finance companies.
- Deposit liabilities held as collateral against any accommodation granted.
- Deposit liabilities falling within the meaning of dormant deposits in terms of the Finance Companies Act, funds of which have been transferred to Central Bank of Sri Lanka.

Registered finance companies are required to pay a premium of 0.15% on eligible deposit liabilities as at the end of the month to be payable within a period of 15 days from the end of the respective month.

3.21 Reserves**3.21.1 Statutory reserve fund**

The statutory reserve fund is maintained in terms of a licensed finance company (Capital Funds) direction No.01 of 2003. Accordingly, the company should transfer funds out of net profits of each year in the flowing manner, after due provision has been made for taxation and bad and doubtful debts.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

- If capital funds are not less than twenty five percent of total deposit liabilities a sum equal to not less than five percent of the net profits;
- If capital funds are less than twenty five percent of total deposit liabilities but not less than ten percent thereof, a sum equal to not less than twenty percent of the net profits;
- If capital funds are less than ten percent of total deposit liabilities a sum equal to not less than fifty percent of the net profits.

3.21.2 Fair value / Available for sale reserve

This has been created in order to account the fair value changes of Financial assets at Fair Value Through Other Comprehensive Income / Available for sale financial assets.

3.22 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components, whose operating results are reviewed regularly by the company's management to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For each of the strategic divisions, the company's management monitors the operating results separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

3.23 Standards issued but not yet effective

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka and is effective for the periods commencing on or after of 01st January, 2019.

SLFRS 16 - Leases

SLFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduces a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also, obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying LKAS 17.

The new standard SLFRS 16, supersedes the requirement in LKAS 17 leases and becomes effective on 01st January, 2019.

For the year ended 31st March

	2019 Rs.	2018 Rs.
4. INCOME		
Interest income (Note 5)	3,239,037,768	3,311,048,574
Fee and commission income (Note 7)	179,130,466	112,111,650
Other operating income (Note 8)	75,245,986	72,948,628
	<u>3,493,414,220</u>	<u>3,496,108,852</u>
5. INTEREST INCOME		
Finance lease	2,354,432,212	2,240,370,779
Hire purchase	24,113,591	113,856,992
Factoring	112,131,923	237,721,529
Loans	444,386,673	534,190,278
Gold loans	147,303,863	31,565,087
Interest income on investments	156,669,506	153,343,909
	<u>3,239,037,768</u>	<u>3,311,048,574</u>
5.1 Notional tax credit on government securities on secondary market transactions.		
The Inland Revenue Act No.10 of 2006, provides that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the company for that year of assessment. However, as per the provision of the Inland Revenue Act No. 24 of 2017 effective from April 1, 2018, interest income from Government Securities are excluded from withholding tax. Hence, notional tax credit hitherto claimed by the Company was discontinued from April 1, 2018 with implementation of Inland Revenue Act No. 24 of 2017.		
6. INTEREST EXPENSES		
Interest expense on		
Borrowings	245,760,664	432,216,671
Customer deposits	1,513,886,827	1,501,808,031
Debentures	104,504,918	103,044,598
Preference shares	56,006,941	56,006,941
Negotiable instruments	-	748,034
Overdraft interest	29,759,817	23,082,283
	<u>1,949,919,167</u>	<u>2,116,906,558</u>
7. FEE AND COMMISSION INCOME		
Documentation income -Lease and hire purchases	118,019,752	45,585,666
Administration charges -Factoring	10,613,532	38,300,030
Service charges - Gold loans	1,115,207	625,791
Insurance commission	49,381,975	27,600,163
	<u>179,130,466</u>	<u>112,111,650</u>
8. OTHER OPERATING INCOME		
Collections from written off contracts	43,876,642	61,252,235
Profit on disposal of property, plant and equipment	52,313	-
Profit on sale of real estate	-	4,868,206
Rent income	9,307,904	1,217,523
Dividend income	495,360	432,000
Sundry income	21,513,767	5,178,664
	<u>75,245,986</u>	<u>72,948,628</u>

For the year ended 31st March

	2019 Rs.	2018 Rs.
9. IMPAIRMENT CHARGES/(REVERSALS) FOR LOANS AND RECEIVABLES TO CUSTOMERS		
Finance lease receivable		
Stage 01	(2,618,401)	-
Stage 02	15,985,953	-
Stage 03	376,406,700	-
Net impairment charges	-	290,850,597
	<u>389,774,252</u>	<u>290,850,597</u>
Hire purchase receivable		
Stage 01	(955,523)	-
Stage 02	(3,634,069)	-
Stage 03	27,185,029	-
Net impairment charges	-	11,720,555
	<u>22,595,437</u>	<u>11,720,555</u>
Other loans receivable		
Stage 01	(15,808,645)	-
Stage 02	(28,964,242)	-
Stage 03	75,424,107	-
Net impairment charges	-	109,916,761
	<u>30,651,220</u>	<u>109,916,761</u>
Factoring receivable		
Stage 01	(10,908,113)	-
Stage 02	-	-
Stage 03	141,936,496	-
Net impairment charges	-	133,558,000
	<u>131,028,383</u>	<u>133,558,000</u>
Gold loans receivable		
Stage 01	(4,754,088)	-
Stage 02	-	-
Stage 03	-	-
Net impairment charges	-	(365,279)
	<u>(4,754,088)</u>	<u>(365,279)</u>
Total Impairment charge	<u>569,295,204</u>	<u>545,680,634</u>
10. PERSONNEL EXPENSES		
Salaries and other related expenses	333,288,622	318,700,309
Defined contribution plan - EPF	35,120,303	32,065,502
- ETF	8,785,074	8,025,428
Defined benefit plan - Gratuity	10,732,336	11,064,046
	<u>387,926,335</u>	<u>369,855,285</u>
11. OTHER OPERATING EXPENSES		
Directors' emoluments	6,380,000	5,377,125
Auditor's remuneration	1,391,500	1,400,000
Professional and legal fees	22,762,159	20,280,521
Charity and donations	468,900	26,200
Administration and establishment expenses	391,477,540	367,218,877
Loss on disposal of property, plant and equipment	-	3,265,316
Advertising and business promotional expenses	38,721,891	88,804,231
Other expenses	1,545,499	2,208,251
	<u>462,747,489</u>	<u>488,580,521</u>

For the year ended 31st March

	2019 Rs.	2018 Rs.
12. INCOME TAX EXPENSE		
Current tax		
On current year profits (Note 12.1)	-	-
Underprovision in respect of previous years (Note 31)	12,840,738	1,819,624
Deferred tax		
Deferred tax charged to the income statement (Note 22)	(9,994,534)	4,708,394
Income tax expense for the year	2,846,204	6,528,018

12.1 Reconciliation between accounting profit and taxable income

Profit/(loss) before income tax expense	31,875,262	(103,717,761)
Adjustments on disallowable expenses	3,586,221,442	3,906,588,928
Adjustments on allowable expenses	(3,249,028,378)	(3,657,665,863)
Statutory income	369,068,326	145,205,305
Less: Tax loss claimed (Note 12.2)	(369,068,326)	(50,821,857)
Assessable income	-	94,383,448
Less: Utilization of qualifying payments (Note 12.3)	-	(94,383,448)
Taxable profit/(loss) for the year	-	-
Effective tax rate	0.00%	0.00%

12.2 Tax losses

Tax losses brought forward	1,932,651,753	1,667,154,365
Tax losses on Leasing Business during the year	513,144,551	316,319,244
Tax losses claimed during the year	(369,068,326)	(50,821,857)
Tax losses carried forward	2,076,727,978	1,932,651,753

12.3 Qualifying payment on investment

Consideration paid to acquire former Orient Finance PLC	1,730,906,250	1,730,906,250
Less : Utilised in prior years	(251,965,148)	(157,581,700)
Less : Utilised during the year	-	(94,383,448)
Balance qualifying payment carried forward	1,478,941,102	1,478,941,102

12.4 Current tax

The company is liable for tax at the rate of 28% on its taxable income in accordance with the Inland Revenue Act No. 24 of 2017 and subsequent amendments made thereto.

13 EARNINGS PER SHARE

13.1 Basic earnings per share

The calculation of earnings per share is based on the profit/(loss) attributable to the ordinary shareholders for the year divided by the weighted average number of ordinary shares outstanding during the year.

For the year ended 31st March,	2019 Rs.	2018 Rs.
Profit /(loss) attributable to ordinary shareholders (Rs.)	29,029,058	(110,245,779)
Weighted average number of ordinary shares	148,018,370	148,018,370
Earnings per share (Rs.)	0.20	(0.74)
Weighted average number of ordinary shares	148,018,370	148,018,370

14. DIVIDEND PER SHARE

The dividend per share is based on the dividend paid during the year and the number of ordinary shares outstanding as at that date.

For the year ended 31st March	2019 Rs.	2018 Rs.
Dividend paid (Rs)	-	37,004,593
Dividend per share (Rs.)	-	0.25

15. FINANCIAL ASSETS AND LIABILITIES

15.1 Classification as at 31 March 2019

	Financial Assets Recognised Through Profit or Loss (FVTPL) Rs.	Financial assets at Fair Value Through Other Comprehensive Income (FVTOCI) Rs.	Financial Assets at Amortised Cost Rs.	Total Carrying Amount Rs.
Financial Assets				
Cash and cash equivalents	-	-	181,741,883	181,741,883
Available for sale financial assets	-	936,939,610	-	936,939,610
Loans and receivables to customers	-	-	14,033,759,660	14,033,759,660
Investments with banks and other financial institutions	-	-	286,253,330	286,253,330
Total Financial Assets	-	936,939,610	14,501,754,873	15,438,694,483

	Financial Liabilities at Amortized Cost Rs.	Total Carrying Amount Rs.
Financial Liabilities		
Bank overdrafts	610,624,135	610,624,135
Deposits from customers	10,479,531,283	10,479,531,283
Interest bearing borrowings	2,091,868,611	2,091,868,611
Term debts	1,012,265,985	1,012,265,985
Redeemable preference shares	512,216,926	512,216,926
Total financial liabilities	14,706,506,940	14,706,506,940

15. FINANCIAL ASSETS AND LIABILITIES (CONTD....)

15.2 Classification as at 31 March 2018

	Loans and Receivables (L&R) Rs.	Financial Assets Available For Sale (AFS) Rs.	Total Carrying Amount Rs.
Financial Assets			
Cash and cash equivalents	195,581,111	-	195,581,111
Available for sale financial assets	-	945,559,444	945,559,444
Loans and receivables to customers	14,504,333,754	-	14,504,333,754
Investments with banks and other financial institutions	754,474,257	-	754,474,257
Total Financial Assets	15,454,389,122	945,559,444	16,399,948,566

	Financial liabilities at Amortized Cost	Total Carrying Amount Rs.
Financial Liabilities		
Bank overdrafts	138,490,215	138,490,215
Deposits from customers	11,852,625,030	11,852,625,030
Interest bearing borrowings	1,806,789,942	1,806,789,942
Term debts	998,261,067	998,261,067
Redeemable preference shares	456,209,985	456,209,985
Total financial liabilities	15,252,376,239	15,252,376,239

15. FINANCIAL ASSETS AND LIABILITIES (CONTD....)

15.3 Classification of Asset and Liabilities on the date of initial application of SLFRS 09

Transition disclosures

When adopting the SLFRS 09, the Company has applied a modified retrospective method in preparing the annual financial statements for the year ended 31st March, 2019. Accordingly, comparative information for the year 2018/2019 has not been restated for financial instruments within the scope of SLFRS 09. The comparative information for 2018/2019 is reported under LKAS 39 for the relevant balances.

The impact of adopting SLFRS 09 at transition date, i.e. 01st April, 2018 has been adjusted to the opening retained earnings for the year 2018 and the note below presents the impact on the financial assets and liabilities as at 01st April, 2018.

	Note	Original Classification under LKAS 39 Rs.	New classification under SLFRS 09 Rs.	Original carrying amount LKAS 39 Rs.	New carrying amount SLFRS 09 Rs.
Financial Assets					
Cash and cash equivalents		Loans and Receivables	Financial Assets at Amortised Cost	195,581,111	195,581,111
Available for sale financial assets		Available For Sale financial assets	Fair Value Through Other Comprehensive Income	945,559,444	945,559,444
Loans and receivables to customers	(i)	Loans and Receivables	Financial Assets at Amortised Cost	14,504,333,754	14,167,478,061
Investments with banks and other financial institutions		Loans and Receivables	Financial Assets at Amortised Cost	754,474,257	754,474,257
Financial Liabilities					
Bank overdrafts	}	Financial Liabilities at amortized cost	Financial Liabilities at amortized cost	138,490,215	138,490,215
Deposits from customers				11,852,625,030	11,852,625,030
Interest bearing borrowings				1,806,789,942	1,806,789,942
Term debts				998,261,067	998,261,067
Redeemable preference shares				456,209,985	456,209,985

Note (i)

Loans and receivables to customers

	Rs.
Carrying amount as at 31 March 2018 based on LKAS 39	14,504,333,754
Remeasurement : Expected Credit Loss Allowance	(336,855,693)
Carrying amount as at 01 April 2018 based on SLFRS 09	<u>14,167,478,061</u>

Impact of transition to SLFRS 09 on the opening balance of the Retained Earnings is as follows:

Retained Earnings	Rs.
Closing balance as at 31 March 2018 based on LKAS 39	551,579,875
Recognition of expected credit losses under SLFRS 09	(336,855,693)
Deferred tax in relation to Expected credit losses	94,319,594
Opening balance under SLFRS 09 as at 01st April 2018	<u>309,043,776</u>

The following is a reconciliation of the closing impairment allowance for financial assets under LKAS 39 to the opening ECL allowance determined under SLFRS 09 as at 01st April 2018:

	Rs.
Closing impairment provision as at 31 March 2018, under LKAS 39	1,209,773,170
Recognition of Expected Credit Losses under SLFRS 9 for Financial Assets at Amortized Cost	336,855,693
Opening impairment provision under SLFRS 09 as at 01 April 2018	<u>1,546,628,863</u>

	2019 Rs.	2018 Rs.
16. CASH AND CASH EQUIVALENTS		
As at 31st March		
Cash in hand	162,415,514	141,293,580
Cash at bank	19,326,369	54,287,531
	181,741,883	195,581,111
Bank overdrafts	(610,624,135)	(138,490,215)
Cash and cash equivalents for the purpose of cash flow statement	(428,882,252)	57,090,896
17. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME		
Investments in government securities (Note 17.1)	936,709,010	945,328,844
Investments in unquoted shares (Note 17.2)	230,600	230,600
	936,939,610	945,559,444
17.1 Investments in government securities		
Treasury bills	936,709,010	945,328,844
	936,709,010	945,328,844
17.2 Investments in unquoted shares		
	2019 Directors' Valuation Rs.	2018 Directors' Valuation Rs.
Finance House Consortium (Pvt) Ltd	200,000	200,000
Credit Information Bureau of Sri Lanka	30,600	30,600
	230,600	230,600
The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs. 230,600/- (2018 - Rs. 230,600/-).		
	2019 Rs.	2018 Rs.
18. LOANS AND RECEIVABLES TO CUSTOMERS		
Loans and receivables	19,532,570,976	19,849,322,496
Less: Unearned income	(4,184,747,333)	(4,135,215,572)
Net loans and receivables (Note 18.1)	15,347,823,643	15,714,106,924
Less: Allowance for impairment (Note 18.1)	(1,314,063,983)	(1,209,773,170)
Net loans and receivables (Note 18.1)	14,033,759,660	14,504,333,754

18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)

18.1 Product wise analysis of net loans and receivables

	As at 31 March 2019 (SLFRS 9)			As at 31 March 2018 (LKAS 39)
	Gross Receivable	ECL Allowance	Net Receivable	
Finance lease receivable (Note 18.1.1)				
Stage 01	7,223,195,857	(107,140,432)	7,116,055,425	-
Stage 02	3,069,473,723	(255,562,440)	2,813,911,283	-
Stage 03	696,229,614	(320,865,647)	375,363,967	-
Net finance lease receivable	-	-	-	10,334,479,733
	10,988,899,194	(683,568,519)	10,305,330,675	10,334,479,733
Hire purchase receivable (Note 18.1.2)				
Stage 01	15,983,982	(135,493)	15,848,489	-
Stage 02	10,883,719	(392,647)	10,491,072	-
Stage 03	42,874,846	(14,034,525)	28,840,321	-
Net hire purchase receivable	-	-	-	225,800,353
	69,742,547	(14,562,665)	55,179,882	225,800,353
Other loans receivable (Note 18.1.3)				
Stage 01	1,501,716,895	(36,462,709)	1,465,254,186	-
Stage 02	317,381,696	(51,016,617)	266,365,079	-
Stage 03	624,728,489	(247,843,179)	376,885,310	-
Net other loans receivable	-	-	-	2,710,335,660
	2,443,827,080	(335,322,505)	2,108,504,575	2,710,335,660
Factoring receivable (Note 18.1.4)				
Stage 01	337,270,775	(4,222,492)	333,048,283	-
Stage 02	-	-	-	-
Stage 03	447,499,199	(275,899,113)	171,600,086	-
Net factoring receivable	-	-	-	932,449,998
	784,769,974	(280,121,605)	504,648,369	932,449,998
Gold loans receivable (Note 18.1.5)				
Stage 01	-	-	-	-
Stage 02	-	-	-	-
Stage 03	1,060,584,848	(488,689)	1,060,096,159	-
Net gold loans receivable	-	-	-	301,268,010
	1,060,584,848	(488,689)	1,060,096,159	301,268,010
Total	15,347,823,643	(1,314,063,983)	14,033,759,660	14,504,333,754

As at 31st March

	2019 Rs.	2018 Rs.
18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)		
18.1.1 Finance lease receivables		
Gross lease rentals receivable	14,816,758,285	14,596,344,058
Less: Unearned income	(3,827,859,091)	(3,605,385,175)
Net lease rentals receivable	10,988,899,194	10,990,958,883
Less: Allowance for impairment (Note 18.1.6)	(683,568,519)	(656,479,150)
Net finance lease receivable	10,305,330,675	10,334,479,733
Lease rentals receivables within one year		
Gross lease rentals receivable within one year	4,425,314,793	5,664,869,363
Less: Unearned income	(1,889,473,103)	(1,769,488,793)
Net lease rentals receivable within one year	2,535,841,690	3,895,380,570
Lease rentals receivables within one to five years		
Gross lease rentals receivable within one to five years	10,379,225,317	8,927,437,818
Less: Unearned income	(1,937,783,949)	(1,835,666,659)
Net lease rentals receivable within one to five years	8,441,441,368	7,091,771,159
Lease rentals receivables later than five years		
Gross lease rentals receivable later than five years	12,218,175	4,036,877
Less: Unearned income	(602,039)	(229,723)
Net lease rentals receivable later than five years	11,616,136	3,807,154
Total	10,988,899,194	10,990,958,883
18.1.2 Hire purchase receivable		
Gross hire purchase rentals receivable	71,995,230	417,430,718
Less: Unearned income	(2,252,683)	(24,740,909)
Net hire purchase rentals receivable	69,742,547	392,689,809
Less: Allowance for impairment (Note 18.1.6)	(14,562,665)	(166,889,456)
Net hire purchase receivable	55,179,882	225,800,353
Hire purchase rentals receivables within one year		
Gross hire purchase rentals receivable within one year	68,105,022	392,675,904
Less: Unearned income	(1,807,223)	(22,244,280)
Net hire purchase rentals receivable within one year	66,297,799	370,431,624
Hire purchase rentals receivable within one to five years		
Gross hire purchase rentals receivable within one to five years	3,890,208	24,754,814
Less: Unearned income	(445,460)	(2,496,629)
Net hire purchase rentals receivable within one to five years	3,444,748	22,258,185
	69,742,547	392,689,809

As at 31st March

	2019 Rs.	2018 Rs.
18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD...)		
18.1.3 Other loans receivables		
Gross other loans rentals receivables	2,798,462,639	3,425,509,656
Less: Unearned income	(354,635,559)	(505,089,488)
Net other loans rentals receivables	2,443,827,080	2,920,420,168
Less: Allowance for impairment (Note 18.1.6)	(335,322,505)	(210,084,508)
Net other loans receivables	2,108,504,575	2,710,335,660
Other loans receivables within one year		
Gross other loans rentals receivable within one year	1,977,580,863	2,355,410,818
Less: Unearned income	(214,609,472)	(298,059,506)
Net other loans rentals receivable within one year	1,762,971,391	2,057,351,312
Other loans receivables within one to five years		
Gross other loans rentals receivable within one to five years	820,881,776	1,070,098,838
Less: Unearned income	(140,026,087)	(207,029,982)
Net other loans rentals receivable within one to five years	680,855,689	863,068,856
Total	2,443,827,080	2,920,420,168
18.1.4 Factoring receivable		
Factoring receivable	784,769,974	1,108,281,365
Less: Allowance for impairment (Note 18.1.6)	(280,121,605)	(175,831,367)
Net factoring receivable	504,648,369	932,449,998
18.1.5 Pawning receivables		
Pawning receivable	1,060,584,848	301,756,699
Less: Provision for specific impairment (Note 18.1.6)	(488,689)	(488,689)
Net pawning receivable	1,060,096,159	301,268,010

As at 31st March

18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD...)

18.1.6 Movement in impairment charges during the year (SLFRS 9)

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Pawning Rs.	Total Rs.
Balance as at 31 March 2018	656,479,150	166,889,456	210,084,508	175,831,367	488,689	1,209,773,170
Recognition of SLFRS 09 ECLs	137,642,305	(7,786,229)	187,114,923	15,130,605	4,754,088	336,855,692
Opening Balance as at 01 April 2018	794,121,455	159,103,227	397,199,431	190,961,972	5,242,777	1,546,628,862
Charge/(reversal) for the year	389,774,252	22,595,437	30,651,220	131,028,383	(4,754,088)	569,295,204
Written off during the year	(500,327,186)	(167,136,000)	(92,528,146)	(41,868,753)	-	(801,860,085)
Balance as at 31st March 2019	683,568,519	14,562,665	335,322,505	280,121,605	488,689	1,314,063,981

18.1.7 Movement in specific and collective impairment charges for the Year Ended 31 March 2018 (LKAS 39)

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Pawning Rs.	Total Rs.
Balance as at 01st April 2017	365,628,553	155,168,901	100,167,746	42,273,368	853,968	664,092,536
Charge/(reversal) for the year	290,850,597	11,720,555	109,916,761	133,558,000	(365,279)	545,680,634
Written off during the year	-	-	-	-	-	-
Balance as at 31st March 2018	656,479,150	166,889,456	210,084,508	175,831,367	488,689	1,209,773,170

18.1.8 Impairment for Expected Credit Losses (Stage Composition) as at 31 March 2019

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Pawning Rs.	Total Rs.
Stage 01 ECL	107,140,432	135,493	36,462,709	4,222,492	-	147,961,126
Stage 02 ECL	255,562,440	392,647	51,016,617	-	-	306,971,704
Stage 03 ECL	320,865,647	14,034,525	247,843,179	275,899,113	488,689	859,131,153
	683,568,519	14,562,665	335,322,505	280,121,605	488,689	1,314,063,983
					2019 Rs.	2018 Rs.

19. INVESTMENT WITH BANKS AND OTHER FINANCIAL INSTITUTIONS

Investments in fixed deposits	286,484,085	753,371,057
Investments in debentures	-	1,103,200
	286,484,085	754,474,257
	(230,755)	-
Less: Expected credit loss on investment in fixed deposits	286,253,330	754,474,257

20. OTHER ASSETS

Advances paid	64,829,920	23,235,975
Insurance commissions receivable	539,864	2,394,959
VAT receivable	5,774,098	13,897,785
ESC and WHT recoverable	98,414,371	76,283,657
Deposits and prepayments	82,834,573	94,291,353
	252,392,826	210,103,729

As at 31st March

	2019 Rs.	2018 Rs.
21. REAL ESTATE STOCK		
Naranwala project	1,772,497	1,772,497
Kiriberiya project	2,887,113	2,887,113
Matale project	9,960,709	9,469,959
Maddawaththa project	865,459	865,459
Chillaw project	1,793,927	1,784,687
Fall in fair value of real estate stock	(506,996)	-
	<u>16,772,709</u>	<u>16,779,715</u>

22. DEFERRED TAX ASSET

Balance at the beginning of the year	270,475,120	275,622,280
Deferred tax effect on unclaimed impairment provision	94,319,594	-
Reversal for the year	9,994,534	(4,708,394)
Deferred tax effect on actuarial gain	(497,101)	(438,766)
Deferred tax effect on revaluation gain	(3,203,208)	-
Balance at the end of the year	<u>371,088,939</u>	<u>270,475,120</u>

22.1 Deferred tax assets

The amount recognized as deferred tax asset is as follows:

Property, plant and equipment and intangible assets	(31,354,647)	(41,527,167)
Gratuity	14,085,673	14,524,688
Tax losses carried forward	82,729,360	86,168,640
Qualifying payment on purchase consideration of amalgamation	211,308,959	211,308,959
Unclaimed impairment provision	94,319,594	-
	<u>371,088,939</u>	<u>270,475,120</u>

23. GOODWILL ON ACQUISITION

There was a premium amounting to Rs. 800,425,746/- on the amalgamation of former Orient Finance PLC with former Bartleet Finance PLC during the quarter ended 30th June 2015 which has been computed as follows:

	Rs.
Total consideration paid	1,730,906,250
Total identifiable net assets	<u>930,480,504</u>
Total premium	<u>800,425,746</u>

23.1 Brand value

Out of the total premium on the acquisition of former Orient Finance PLC, Rs. 235,880,000/- was attributed as Brand Value of former Orient Finance PLC based on a valuation carried out by an independent professional valuer.

Valuation methodology and principal assumptions used for the brand valuation

"Income approach" has been considered for the valuation of brand by the independent professional valuer and the following principal assumptions were used.

- Implied royalty rate - 1.68%
- Cost of equity - 19.67% (risk free rate - 9.67% + equity risk premium - 5% + alpha 5%)
- Terminal growth rate - 2%
- Terminal multiplier 5.77

To determine appropriate royalty rates for the trade names, the Independent professional valuer has considered royalty rates available in the international markets for banking and finance related brands/trade marks.

23. GOODWILL ON ACQUISITION (CONTD....)

23.2 Goodwill

Pursuant to recognition of brand value as described in note 23.1 above, the remainder of the premium on acquisition amounting to Rs. 564,545,746/- has been recognised as goodwill on acquisition.

23.3 Impairment

The management has assessed to ascertain whether there could be any impairment on the brand value and/or goodwill. A separate assessment of value in use of brand value and goodwill is not practicable as the future cash flows attached to the cash generating unit pertaining to pre-acquisition of Orient Finance PLC due to the following reasons:

- (a) Departments of the two entities have been merged post amalgamation
- (b) Certain employees resigned and the remaining employees took over the responsibilities of similar areas where the employees left.

Consequently, the management has taken an approach to assess impairment with a combined approach of both the brand value and goodwill. For this purpose the management assessed value in use taking into consideration the future estimated cash flows to equity.

Key assumptions used for value-in-use calculations □

Management determined forecast operating results based on past performance and expectations for the future. The pre-tax discount rate used is 16.54% and the growth rate used to extrapolate cash flow projections beyond five years is 3% per annum. Value in Use (VIU) computed based on these data and assumptions support the carrying value of goodwill.

The summary of assessments is as follows:

	<u>Rs.</u>
Value in Use as per management's assessments	3,526,025,832
Carrying value of brand value and goodwill	800,425,746

Since the carrying value is less than the value in use, the management concluded that there was no impairment of brand value and goodwill taken together as at 31st March 2019.

24. INTANGIBLE ASSETS

As at 31st March	2019 <u>Rs.</u>	2018 <u>Rs.</u>
Computer software		
Cost		
Balance at the beginning of the year	11,653,860	9,312,960
Additions during the Year	-	2,340,900
Balance at the end of the year	<u>11,653,860</u>	<u>11,653,860</u>
Accumulated amortization		
Balance at the beginning of the year	9,677,940	9,207,450
Amortized during the year	470,490	470,490
Balance at the end of the year	<u>10,148,430</u>	<u>9,677,940</u>
Carrying amount as at 31st March	<u><u>1,505,430</u></u>	<u><u>1,975,920</u></u>

25. PROPERTY, PLANT AND EQUIPMENT

Cost	Land and Building	Furniture and fittings Rs.	Office equipment Rs.	Computer equipment Rs.	Motor vehicles Rs.	Total Rs.
Balance as at 01st April, 2018	398,788,468	47,780,680	68,208,358	124,106,991	1,141,875	640,026,372
Additions during the year	-	26,196,642	24,845,088	8,505,312	-	59,547,042
Disposals during the year	-	(419,501)	(1,869,146)	(1,694,289)	-	(3,982,936)
Revaluation	32,032,082	-	-	-	-	32,032,082
Transferred to investment property	(430,820,550)	-	-	-	-	(430,820,550)
Balance as at 31st March 2019	-	73,557,821	91,184,300	130,918,014	1,141,875	296,802,010
Depreciation						
Balance as at 01st April, 2018	24,323,239	41,201,744	56,778,509	100,962,927	1,141,875	224,408,294
Charge for the year	5,897,309	4,456,296	7,632,793	10,571,728	-	28,558,126
On disposals	-	(544,194)	(1,869,145)	(1,694,289)	-	(4,107,628)
Adjustment on revaluation	(30,220,548)	-	-	-	-	(30,220,548)
Balance as at 31st March 2019	-	45,113,846	62,542,157	109,840,366	1,141,875	218,638,244
Carrying amount as at 31st March 2019	-	28,443,975	28,642,143	21,077,648	-	78,163,766
Carrying amount as at 31st March 2018	374,465,229	6,578,936	11,429,849	23,144,064	-	415,618,078

- 25.1 Based on the assessment of potential impairment carried out internally, for property, plant and equipment by the Board of Directors as at 31st March, 2019, no provision was required to be made in the financial statements.
- 25.2 Property, plant and equipment included fully depreciated assets having a gross amount of Rs.187,562,598/- as at 31st March, 2019. (31 March 2018 - Rs.180,762,903/-).
- 25.3 There were no capitalized borrowing costs related to the acquisition of property, plant and equipment during the year (2017/2018 -nil).
- 25.4 There were no restrictions on the title of the property, plant and equipment as at 31st March, 2019.
- 25.5 There were no items of property, plant and equipment pledged as security as at 31st March, 2019 except Matara and Kalutara buildings disclosed in asset pledged note (Note 43).
- 25.6 There were no temporary idle items of property, plant and equipment as at 31st March, 2019.

25. PROPERTY, PLANT AND EQUIPMENT (CONTD.....)

- 25.7 Due to change in nature of use, Land and Building at Kalutara and Matara were transferred as Investment Property as at 31st March 2019. As of the date of transfer, land and buildings were revalued by an independent valuer, Messrs. Deshamanya. H.B. Manjula Basnayaka.

Land and buildings were valued at their open market / fair value, and the surplus arising from the revaluation was transferred to the revaluation reserve.

In determining the fair value, the current condition of the properties, future usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within the appropriate range of values.

The details of land and buildings and significant assumptions used by the valuer are as follows:

Location	Address	Land Extent	Building Area (Sq.Ft)	Valuation of Land and Building Rs.	Carrying amount as at 31 March 2019 Rs.	Revaluation Gain Rs.
Matara	38, Station Road, Matara	37.8 Perches	9,400 Sq. Ft	124,600,000	100,336,000	24,264,000
Kalutara	197/4, Galle Road, Kalutara	39.87 Perches	36,141 Sq. Ft	276,000,000	268,231,918	7,768,082
				<u>400,600,000</u>	<u>368,567,918</u>	<u>32,032,082</u>

As at 31st March

26. INVESTMENT PROPERTIES

Balance as at 01st April, 2018
Transferred from property, plant and equipment
Balance as at 31st March 2019

2019 Rs.	2018 Rs.
-	-
400,600,002	-
400,600,002	-

27. DEPOSITS FROM CUSTOMERS

Fixed deposits (Note 27.1)
Savings deposits

10,401,745,077	11,772,678,129
77,786,206	79,946,901
10,479,531,283	11,852,625,030

27.1 Public deposits
Interest accrued
Public deposits at amortized cost

10,070,813,152	11,399,286,886
330,931,925	373,391,243
10,401,745,077	11,772,678,129

27.2 Rs.7,350,388,538/- (2017/2018 -Rs.6,647,268,881/-) of deposits from customers are expected to be matured after a 12 months period from the reporting date, 31st March, 2019.

28. INTEREST BEARING BORROWINGS

Institutional borrowings (Note 28.1)

2019 Rs.	2018 Rs.
2,091,868,611	1,806,789,942
2,091,868,611	1,806,789,942

28.1 Movement in institutional borrowings

Balance at the beginning of the year
Obtained during the year
Payments made during the year
Balance before adjusting for amortized interest (Note 28.3)
Net effect on amortized interest payable (Note 28.3)
Balance at the end of the year

1,739,487,340	4,746,665,867
4,578,904,725	3,344,000,000
(4,275,006,688)	(6,351,178,527)
2,043,385,377	1,739,487,340
48,483,234	67,302,602
2,091,868,611	1,806,789,942

28.2 Interest bearing borrowings - Current and non-current

Payable within one year
Payable after one year (1 -5 years)

1,692,785,278	1,198,447,248
399,083,333	608,342,694
2,091,868,611	1,806,789,942

28.3 Institutional borrowings

Bank	Facility amount Rs.	Capital outstanding as at 31.03.2019 Rs.	Finance cost payable as at 31.03.2019 Rs.	Total payable at amortised cost as at 31.03.2019 Rs.	Tenure of loan (months)
Long-term loans					
Union Bank PLC	500,000,000	74,591,019	91,042	74,682,061	60
Sampath Bank PLC	250,000,000	64,410,000	152,149	64,562,149	60
Seylan Bank PLC	300,000,000	125,000,000	1,100,753	126,100,753	48
Pan Asia Banking Corporation PLC	50,000,000	1,184,337	438	1,184,775	48
Bank of Ceylon	2,024,000,000	758,833,721	3,590,739	762,424,460	36
Medium term loans					
Sampath Bank PLC	200,000,000	16,666,300	42,108	16,708,408	12
Short-term loans - Revolving					
Nations Trust Bank PLC	55,000,000	55,000,000	610,681	55,610,681	Revolving
National Development Bank PLC	150,000,000	150,000,000	1,968,288	151,968,288	Revolving
Union Bank PLC	200,000,000	200,000,000	452,054	200,452,054	Revolving
Sampath Bank PLC	100,000,000	100,000,000	254,795	100,254,795	Revolving
Cargills Bank PLC	400,000,000	400,000,000	1,931,507	401,931,507	Revolving
Securitization					
Deutsche Bank	318,100,000	97,700,000	38,288,680	135,988,680	48
		2,043,385,377	48,483,234	2,091,868,611	

As at 31st March				2019 Rs.	2018 Rs.
29. TERM DEBTS					
Balance at the beginning of the year				1,000,000,000	1,000,000,000
Balance at the end of the year (Note 29.1)				1,000,000,000	1,000,000,000
Initial cost on debentures				(11,332,496)	(25,334,415)
Net effect on amortized interest payable				23,598,481	23,595,482
				<u>1,012,265,985</u>	<u>998,261,067</u>
				Value of the debentures as at 31.03.2019 (Rs.)	Value of the debentures as at 31.03.2018 (Rs.)
29.1	Interest payment frequency	Allotment date	Maturity date	Effective annual yield	
	Semi annually	26th December, 2018	26th December, 2019	9.05%	
Balance at the end of the year				<u>1,000,000,000</u>	<u>1,000,000,000</u>
				2019 Rs.	2018 Rs.
30. REDEEMABLE PREFERENCE SHARES					
Balance at the beginning of the year				400,049,600	400,049,600
Balance at the end of the year				400,049,600	400,049,600
Net effect on amortized interest payable				112,167,326	56,160,385
				<u>512,216,926</u>	<u>456,209,985</u>
On 16th February, 2017, the company issued 4,000,496 new five year, unlisted, redeemable, non convertible, cumulative, non-voting, unsecured, subordinated Preference Shares, to the existing holders of issued ordinary shares of the company in the proportion of one new preference share for every existing thirty seven Ordinary Shares held at a price of Rs.100 per share with a 14% annual dividend per share.					
				2019 Rs.	2018 Rs.
31. CURRENT TAX PAYABLE					
Balance at the beginning of the year				-	2,136,340
Adjustments in respect of previous years' underprovision (Note 12)				12,840,738	1,819,624
Set off - ESC and WHT				-	(1,457,420)
Payments made during the year				(12,840,738)	(2,498,544)
Balance at the end of the year				<u>-</u>	<u>-</u>
32. OTHER LAIBILITIES					
Vendor payable				123,688,774	234,445,446
Insurance payable				61,073,173	54,653,980
Accrued expenses and other payable				239,860,046	162,411,398
Real estate advances				11,709,183	11,473,648
				<u>436,331,176</u>	<u>462,984,472</u>

As at 31st March

	2019 Rs.	2018 Rs.
33. RETIREMENT BENEFIT OBLIGATIONS		
Balance at the beginning of the year	51,873,885	44,899,285
Amount recognized in the total comprehensive income (Note 33.1)	8,956,975	12,726,718
Payments during the year	(10,524,884)	(5,752,118)
Balance at the end of the year	<u>50,305,976</u>	<u>51,873,885</u>

33.1 The amount recognised in the total comprehensive income is as follows:

Interest cost	5,706,127	5,387,914
Current service cost	5,026,209	5,771,782
Actuarial (gain) /loss recognized	(1,775,361)	1,567,022
	<u>8,956,975</u>	<u>12,726,718</u>

33.2 An actuarial valuation of the retirement benefit obligation was carried out as at 31st March 2019 by Actuarial and Management Consultants (Pvt) Ltd. The company has estimated its gratuity liability as at 31st March 2019 based on the forecast given by the actuary using the census and assumptions as at 31st March 2019.

The principal assumptions used were as follows:

	2019	2018
Discount rate	11%	11%
Future salary increases	8%	10%
Staff turnover factor	50%	40%
Retirement age	55 years	55 years

33.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the income statement and the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase/decrease in discount rate	Increase/decrease in salary increment	2018/2019	2017/2018
		Sensitivity effect on income statement increase/(reduction) in results for the year	Sensitivity effect on income statement increase/(reduction) in results for the year
		Rs.	Rs.
1%	-	(765,874)	(969,299)
-1%	-	798,323	1,016,235
-	1%	976,708	1,249,302
-	-1%	(952,895)	(1,212,579)

	2019 Rs.	2018 Rs.
34. STATED CAPITAL		
Ordinary shares (Note 34.1)	1,378,689,779	1,378,689,779
Redeemable Preference Shares	400,049,600	400,049,600
Stated Capital	1,778,739,379	1,778,739,379
Less: Redeemable Preference Shares- classified as borrowings (Refer Note 30)	(400,049,600)	(400,049,600)
Total Equity	<u>1,378,689,779</u>	<u>1,378,689,779</u>
No.of shares (Note 34.2)	<u>148,018,370</u>	<u>148,018,370</u>

As at 31st March

	2019 Rs.	2018 Rs.
34. STATED CAPITAL (CONTD....)		
34.1 Movement in ordinary shares		
At the beginning of the year	1,378,689,779	1,378,689,779
At the end of the year	<u>1,378,689,779</u>	<u>1,378,689,779</u>
34.2 Movement in number of shares		
At the beginning of the year	148,018,370	148,018,370
At the end of the year	<u>148,018,370</u>	<u>148,018,370</u>
34.3 The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the company.		
34.4 All ordinary shares rank equally with regard to the company's residual assets.		
	2019 Rs.	2018 Rs.
35. STATUTORY RESERVE FUND		
At the beginning of the year	305,274,930	305,274,930
Transfer during the year	1,203,612	-
At the end of the year	<u>306,478,542</u>	<u>305,274,930</u>
35.1 Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies Capital Funds Direction No. 01 of 2003 issued by the Central Bank of Sri Lanka.		
	2019 Rs.	2018 Rs.
36. REVALUATION RESERVE		
At the beginning of the year	112,291,899	112,291,899
Revaluation surplus during the year	32,032,082	-
Defferred Tax effect on revaluation surplus	(3,203,208)	-
At the end of the year	<u>141,120,773</u>	<u>112,291,899</u>
37. OTHER RESERVES		
37.1 Available For Sale Reserve		
Balance at the beginning of the year	-	(1,545,592)
During the year fair value gain / (loss) on AFS financial assets	-	1,759,556
Balance at the end of the year	<u>-</u>	<u>213,964</u>
37.2 Fair value reserve		
Balance at the beginning of the year	213,964	-
Gain on fair value of financial assets	855,067	-
Balance at the end of the year	<u>1,069,031</u>	<u>-</u>

38. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers

b) Loans - Provision of Loan facilities to customers

c) Factoring - Debt factoring

Gold Loan - Provision of loans against gold

For the year ended 31 March	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	2,494,208,042	2,465,874,032	467,925,509	562,844,711	117,765,696	247,579,653	159,138,521	34,750,177	3,239,037,768	3,311,048,573
Fee and commission income	160,654,792	54,683,213	6,746,935	18,502,616	10,613,532	38,300,030	1,115,207	625,791	179,130,466	112,111,650
Other income	55,809,134	53,112,260	11,156,506	13,631,462	2,713,297.76	4,689,698.21	5,567,048	1,515,208	75,245,986	72,948,628
Total segmental income	2,710,671,968	2,573,669,505	485,828,950	594,978,789	131,092,526	290,569,381	165,820,776	36,891,176	3,493,414,220	3,496,108,851
Less: Interest expense	(1,461,233,963)	(1,541,272,184)	(289,108,911)	(395,573,311)	(70,312,207)	(136,091,016)	(129,264,086)	(43,970,046)	(1,949,919,167)	(2,116,906,558)
Segmental results	1,249,438,005	1,032,397,320	196,720,039	199,405,477	60,780,319	154,478,365	36,556,690	(7,078,870)	1,543,495,053	1,379,202,293
Depreciation and amortization	(21,181,253)	(17,064,139)	(4,234,231)	(4,379,575)	(1,029,779)	(1,506,727)	(2,112,863)	(486,748)	(28,558,126)	(23,437,189)
Impairment charge	(412,369,688)	(302,571,152)	(30,651,220)	(109,916,761)	(131,028,381)	(133,558,000)	4,754,088	365,282	(569,295,201)	(545,680,631)
Other Expenses	(701,769,927)	(665,318,909)	(141,429,069)	(170,756,604)	(41,467,434)	(58,746,227)	(29,100,035)	(18,980,491)	(913,766,464)	(913,802,232)
Income tax	-	(4,752,903)	-	(1,219,851)	-	(419,671.15)	(2,846,204)	(135,593)	(2,846,204)	(6,528,018)
Profit/(loss) after tax	114,117,137	42,690,217	20,405,519	(86,867,313)	(112,745,274)	(39,752,260)	7,251,676	(26,316,420)	29,029,058	(110,245,777)
Segmental assets	12,831,672,396	13,189,363,185	2,599,104,379	3,385,099,740	623,963,802	1,164,592,376	1,304,903,325	376,271,573	17,359,643,902	18,115,326,874
Segmental liabilities	11,268,590,699	11,479,800,320	2,252,643,811	2,946,333,992	547,850,139	1,013,641,655	1,124,059,443	327,500,461	15,193,144,092	15,767,276,428

As At 31 March 2018

39. MATURITY ANALYSIS OF ASSETS AND LIABILITIES

	Less than 3 months Rs	3-12 months Rs	1-3 years Rs	3-5 years Rs	Over 5 years Rs	Total	
						2019 Rs	2018 Rs
ASSETS							
Cash and cash equivalents	181,741,883	-	-	-	-	181,741,883	195,581,111
Financial assets at fair value through other comprehensive income	936,939,610	-	-	-	-	936,939,610	945,559,444
Loans and receivables to customers	1,756,384,877	3,140,016,842	7,446,255,577	1,679,486,228	11,616,136	14,033,759,660	14,504,333,754
Investments with banks and other financial institutions	269,459,340	16,793,990	-	-	-	286,253,330	754,474,257
Other assets	65,360,588	187,032,239	-	-	-	252,392,827	210,103,729
Real estate stock	-	16,772,709	-	-	-	16,772,709	16,779,715
Deferred tax asset	-	-	-	371,088,939	-	371,088,939	270,475,120
Brand value	-	-	-	-	235,880,000	235,880,000	235,880,000
Goodwill	-	-	-	-	564,545,746	564,545,746	564,545,746
Intangible assets	-	-	-	-	1,505,430	1,505,430	1,975,920
Property, plant and equipment	-	-	-	-	78,163,766	78,163,766	415,618,078
Investment properties	-	-	-	-	400,600,002	400,600,002	-
Total assets	3,209,886,298	3,360,615,780	7,446,255,577	2,050,575,167	1,292,311,080	17,359,643,902	18,115,326,874
LIABILITIES							
Bank overdrafts	610,624,135	-	-	-	-	610,624,135	138,490,215
Deposits from customers	3,070,854,755	4,279,533,784	2,094,563,691	1,034,579,053	-	10,479,531,283	11,852,625,030
Interest bearing borrowings	526,865,274	1,165,920,004	399,083,333	-	-	2,091,868,611	1,806,789,942
Term debts	23,598,481	988,667,504	-	-	-	1,012,265,985	998,261,067
Redeemable preference shares	-	-	-	512,216,926	-	512,216,926	456,209,985
Other liabilities	424,621,993	11,709,183	-	-	-	436,331,176	462,984,472
Retirement benefit obligations	-	-	-	-	50,305,976	50,305,976	51,873,885
	4,656,564,638	6,445,830,475	2,493,647,024	1,546,795,979	50,305,976	15,193,144,092	15,767,234,596
Maturity Gap	(1,446,678,340)	(3,085,214,695)	4,952,608,553	503,779,188	1,242,005,104		

40. RELATED PARTY TRANSACTIONS

The company carries out transactions in the ordinary course of the business with parties who are defined as related parties according to Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures", the details of which are reported below.

40.1 Parent and ultimate controlling party

The parent and ultimate controlling party of the company is Janashakthi PLC.

40.2 Transactions with key management personnel

According to LKAS 24, "Related Party Disclosures", key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the board of directors (including executive and non-executive directors) and their immediate family members have been classified as key management personnel of the company.

The company has paid Rs. 6,380,000/- (2017/2018 -Rs. 5,377,125/-) to the directors as emoluments, of which all are comprised of short term employment benefits and no post-employment benefits have been paid during the year (2017/2018 - Nil). There are no direct transactions, arrangements and agreements involving key management personnel of the company other than disclosed in other related party transactions.

The company accepts and holds fixed deposits from key management personnel and their relatives in the normal course of its business and the amount outstanding on such deposits as at 31st March 2019 is Rs.183,650,000/-(2017/2018- Rs.132,150,000/-)

40.3 Other related party transactions

The following transactions have been carried out with related parties during the year ended 31st March, 2019.

40.3.1 Recurrent Related Party Transactions

Company	Relationship	Nature of Transactions	Rs.
Janashakthi Insurance PLC	Affiliate	Rent and utility paid	(26,086,035)
		Payments for Inhouse insurance policies	(1,748,091)
		Rent income received	2,005,650
		Purchase of Fixed Assets	1,936,209
		Reimbursement of promotion expenses	490,812
		Life insurance payments for customers	18,872,239
Orient Capital Limited	Affiliate	Reimbursement of collections on assigned debtors	(4,706,080)
Kelsey Homes	Affiliate	Granting of Business Loans	(175,000,000)
		Repayment of Loans	61,230,361

40.3.2 Non-Recurrent Related Party Transactions

There were no non recurrent transactions carried out with Related Parties as required to be disclosed by Rule 9.3.2 (a) of the CSE listing Rules.

41. CAPITAL COMMITMENTS

The company does not have material capital commitments outstanding as at the reporting date.

42. CONTINGENT LIABILITIES

The company does not anticipate any contingent liabilities to arise out of any contingent events as at reporting date except as disclosed below:

The Inland Revenue Department has issued assessments on Value Added Tax on Financial Services amounting to Rs. 294,223,489/- (including penalties of Rs. 122,653,108/-) and the Board of Directors is confident that there will not be any additional tax liability on that.

43. ASSETS PLEDGED AS SECURITIES

The following assets have been pledged as securities against the long-term and short-term borrowings that have been disclosed under the note No.28 to the financial statements.

Funding Institution	Nature of assets	Nature of liability	Balance Outstanding as at 31st Marh 2019	Value of assets pledged (Rs.)	Included under
BOC	Leases and Hire Purchase Receivable	OD	36,931,668	32,500,000	Future Rental Receivable
Commercial Bank of Ceylon PLC	Leases and Hire Purchase Receivable	OD	21,327,079	30,000,000	Future Rental Receivable
Hatton National Bank PLC	Leases and Hire Purchase Receivable	OD	16,932,777	32,500,000	Future Rental Receivable
NDB Bank PLC	Leases and Hire Purchase Receivable	OD	21,327,079	30,000,000	Future Rental Receivable
NTB	Leases and Hire Purchase Receivable	OD	19,678,256	30,000,000	Future Rental Receivable
Peoples Bank	Leases and Hire Purchase Receivable	OD	69,548,716	93,750,000	Future Rental Receivable
Sampath Bank PLC	Leases and Hire Purchase Receivable	OD	64,009,370	99,750,000	Future Rental Receivable
Seylan Bank PLC	Land and Building	OD	55,000,000	190,000,000	Investment Property
Union Bank	Leases and Hire Purchase Receivable	OD	25,207,094	30,000,000	Future Rental Receivable
DFCC Bank	Leases and Hire Purchase Receivable	OD	207,333,312	275,753,305	Future Rental Receivable
Trust 17	Leases and Hire Purchase Receivable	Securitization	97,700,000	187,152,855	Future Rental Receivable
NDB Bank PLC	Leases and Hire Purchase Receivable	Short Term Revolving	150,000,000	180,000,000	Future Rental Receivable
NTB	Leases and Hire Purchase Receivable	Short Term Revolving	55,000,000	82,500,000	Future Rental Receivable
Pan Asia Banking Corporation	Leases and Hire Purchase Receivable	Short Term Revolving	-	250,000,000	Future Rental Receivable
Cargills Bank	Leases and Hire Purchase Receivable	Short Term Revolving	400,000,000	480,000,000	Future Rental Receivable
BOC	Leases and Hire Purchase Receivable	Term Loan	758,833,319	1,009,248,314	Future Rental Receivable
Pan Asia Banking Corporation	Leases and Hire Purchase Receivable	Term Loan	1,184,339	1,480,424	Future Rental Receivable
Sampath Bank PLC	Leases and Hire Purchase Receivable	Term Loan	181,076,300	240,831,479	Future Rental Receivable
Seylan Bank PLC	Leases and Hire Purchase Receivable	Term Loan	125,000,000	187,500,000	Future Rental Receivable
Union Bank	Leases and Hire Purchase Receivable	Term Loan	74,591,019	89,509,223	Future Rental Receivable
Union Bank	Leases and Hire Purchase Receivable	Short Term Revolving	200,000,000	240,000,000	Future Rental Receivable

43.1 The company has pledged Rs.1,309,045,845 worth of debtors as securities to Janashakthi General Insurance Ltd for the guarantee obtained for the debentures issued amounting to Rs. 1,000,000,000.

43.2 In the ordinary course of the business, the company entered into transactions that resulted in the transfer of financial assets to third parties. The information above sets out the extent of such transfers and retained interest in transferred assets.

43.3 The company has transferred future rental receivable of lease and hire purchases, but has retained substantially all of the credit risks associated with the transferred assets. Due to the retention of substantially all the risk and rewards on these assets, the company continues to recognise these assets within lease rental receivable and stock out on hire.

44. EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

Subsequent to the date of the statement of financial position, no circumstances have arisen which would require adjustments to, or disclosures, in the financial statements.

45. COMPARATIVE INFORMATION

Comparative information of the financial statements has been re-classified wherever necessary to conform to the current year's presentation/classification.

46. DIRECTORS' RESPONSIBILITY

The Board of Directors is responsible for the preparation and presentation of these financial statements.

47. NUMBER OF EMPLOYEES OF THE COMPANY AS AT THE YEAR END

The number of employees of the company as at 31st March 2019 is 508 (2018-476).

48. DETERMINATION OF FAIR VALUE AND FAIR VALUE HIERARCHY

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the company uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair values are determined according to the following hierarchy:-

Level 1:- Quoted market price (unadjusted) in an active market for an identical instrument.

Level 2:-

Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3:- Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

The following table shows an analysis of financial instruments recorded at fair value by the level of the fair value hierarchy.

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial assets - fair value through other comprehensive income				
Government Securities	936,709,010	-	-	936,709,010
Investments in unquoted shares	-	230,600	-	230,600
	<u>936,709,010</u>	<u>230,600</u>	<u>-</u>	<u>936,939,610</u>

49. FAIR VALUE OF FINANCIAL INSTRUMENTS CARRIED AT AMORTISED COST

The following table summarises the carrying amounts and the company's estimate of fair values of those financial assets and liabilities not presented on the company's statement of financial position at fair value. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction. The fair values in the table below may be different from the actual amounts that will be received/ paid on the settlement or maturity of the financial instrument. For certain instruments, the fair value may be determined using assumptions which are not observable in the market.

As at 31 March	2019		2018	
	Carrying Value (Rs.)	Fair Value (Rs.)	Carrying Value (Rs.)	Fair Value (Rs.)
ASSETS				
Cash and cash equivalents	181,741,883	181,741,883	195,581,111	195,581,111
Loans and receivables to customers	14,033,759,660	14,033,759,660	14,504,333,754	14,504,333,754
Investments with banks and other financial institutions	286,253,330	286,253,330	754,474,257	754,474,257
	<u>14,501,754,873</u>	<u>14,501,754,873</u>	<u>15,454,389,122</u>	<u>16,893,157,558</u>
LIABILITIES				
Bank overdrafts	610,624,135	610,624,135	138,490,215	138,490,215
Deposits from customers	10,479,531,283	10,479,531,283	11,852,625,030	11,852,625,030
Interest bearing borrowings	2,091,868,611	2,091,868,611	1,806,789,942	1,806,789,942
Term debts	1,012,265,985	1,012,265,985	998,261,067	998,261,067
Redeemable preference shares	512,216,926	512,216,926	456,209,985	456,209,985
	<u>14,706,506,940</u>	<u>14,706,506,940</u>	<u>15,252,376,239</u>	<u>15,252,376,239</u>

Given below is the methodologies and assumptions used in fair value estimates.

Cash and cash equivalents

The carrying amounts of cash and cash equivalents, approximate their fair value as those are short-term in nature and are receivable on demand.

Investments with banks and other financial institutions

The carrying amounts of fixed deposits with banks and other reverse repurchase agreements, approximate their fair value as those are short-term in nature. Almost all of these balances have a remaining maturity of less than six months from the reporting date.

Loans and receivables to customers

Fair value of the loans and receivables to customers is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the reporting date for similar types of loans and receivables. The company calculated the fair value of the loans and receivables to customers based on interest rates at the reporting date for similar types of loans and receivables. Accordingly, fair value of such loans does not materially differ from its carrying value amounting to Rs.14,033,759,660/-.

Bank overdrafts

The carrying amounts of bank overdrafts, approximate their fair value as those are short-term in nature.

Deposits from customers

More than 70% of the customer deposits have a remaining contractual maturity of less than one year. Customer deposits with a contractual maturity of more than one year are subject to pre-mature uplift. Amounts paid to customers in the event of pre-mature uplift would not be materially different to its carrying value as at the reporting date. Therefore, fair value of customer deposits approximates to their carrying value as at the reporting date.

Interest bearing borrowings

Interest bearing borrowings include both the fixed rate and floating rate borrowings. Floating rate borrowings represent nearly 94% of the portfolio. Accordingly, carrying value of the floating rate borrowings approximate to their fair values as at the reporting date. Rest of the borrowings has a remaining contractual maturity of less than one year. Therefore, fair value of interest bearing borrowings approximate to the carrying value as at the reporting date.

50. FINANCIAL RISK MANAGEMENT

Risk is the most important factor considered in strategic decision making process at Orient Finance PLC. Therefore, all possible risks are properly evaluated before taking any strategic or operational decision and the best options which minimize the risk is decided. Risk management framework of the company is discussed in detail in this report. The major categories of financial risks are;

- 1 Credit risk
- 2 Liquidity risk
- 3 Operational risk
- 4 Market Risk

50.1 Credit risk

Credit risk is the risk of financial loss to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the company's loans and advances to customers. For risk management reporting purposes, the company considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk).

Management of credit risk

The Board of Directors has delegated responsibility for the oversight of credit risk to its company's credit committee. The company's credit department, reporting to the company's credit committee, is responsible for management of the company's credit risk, including:

- I Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirements.
- II Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit credit officers. Larger facilities require approval by the company's credit committee or the Board of Directors as appropriate.
- III Reviewing and assessing credit risk - company's credit division assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- IV Limiting concentrations of exposure to counterparties, geographies and industries.
- V Providing advice, guidance and specialist skills to business units to promote best practices throughout the company in the management of credit risk.

Regular audits of business units and the company's credit processes are evaluated by internal audit.

As at 31 March

Loans and advance to customers

Carrying amount at amortized cost

Individually significant impaired loans and advances (Note 50.1.1)

Carrying amount of unimpaired loans and advances (Note 50.1.2)

2019	2018
Rs	Rs
2,429,560,066	467,018,049
11,604,199,594	15,949,085,095
<u>14,033,759,660</u>	<u>16,416,103,144</u>

50.1.1 Individually significant impaired loans and advances

Gross receivable

Allowance for impairment

Individually significant impaired loans and advances

3,194,412,467	948,646,255
(764,852,401)	(481,628,206)
<u>2,429,560,066</u>	<u>467,018,049</u>

As at 31 March

50. FINANCIAL RISK MANAGEMENT (CONTD...)

50.1.2 Individually significant unimpaired and individually not significant

	2019 Rs	2018 Rs
Gross receivable	12,153,411,176	16,131,549,424
Allowance for collective impairment	(549,211,582)	(182,464,329)
Carrying amount of unimpaired loan advances	<u>11,604,199,594</u>	<u>15,949,085,095</u>

Write-off policy

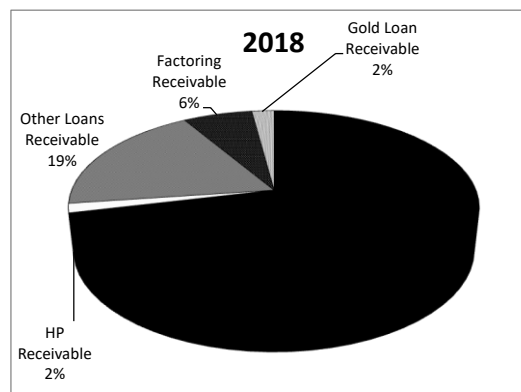
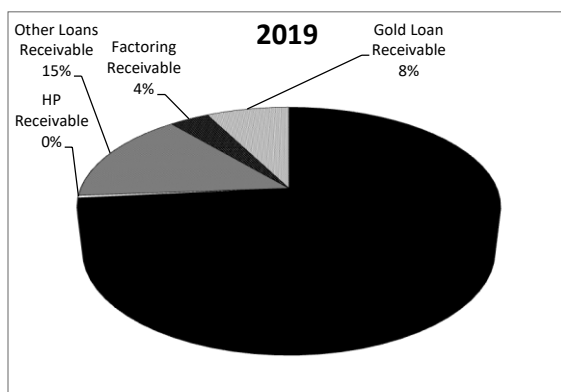
The company writes off a loan or an investment debt security balance, and any related allowances for impairment losses, when the company's credit division determines that the loan or security is uncollectible. This determination is made after considering information such as the occurrence of significant changes in the borrower's/issuer's financial position so that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Concentration of credit risk

The company monitors concentrations of credit risk by sector and by geographic location.

An analysis of concentrations of credit risk from loans and advances and investment securities at the reporting date is shown below:

Product concentration



50.2 Liquidity risk

Liquidity risk is the risk that the company will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The company treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. The treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities to ensure that sufficient liquidity is maintained within the company as a whole.

50. FINANCIAL RISK MANAGEMENT (CONTD...)

50.2 Liquidity risk (Contd...)

Management of liquidity risk (Contd...)

The daily liquidity position is monitored and regular liquidity stress testing conducted under a variety of scenarios covering both the normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by ALCO. Daily reports cover the liquidity position of the company and branches. A summary report, including any exceptions and remedial action taken, is submitted regularly to ALCO which in turn submit monthly summary to the board.

The company relies on deposits from customers and bank borrowings as its primary sources of funding. While the company's debt securities and subordinated liabilities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the company's liquidity risk and the company actively manages this risk through maintaining competitive pricing and constant monitoring of market trends and maintaining unutilized credit lines.

Exposure to liquidity risk

The key measure used by the company for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market less any deposits from banks, debt securities issued, other borrowings and commitments maturing within the following month. A similar, but not identical, calculation is used to measure the company's compliance with the liquidity limit established by the company's lead regulator, CBSL. Details of the reported company ratio of net liquid assets to deposits from customers at the reporting date and during the year were as follows:

As at 31 March	2019 (Rs.)	2018 (Rs.)
Time deposits	10,401,745,077	11,772,678,129
Saving deposits	77,786,206	79,946,901
Unsecured borrowings	1,315,450	1,173,835,000
Total liquid assets	1,365,243,065	1,675,331,259
Cash in hand	162,415,514	141,293,580
Balances in current accounts (favourable)	5,536	30,656,000
Deposits in commercial banks	266,113,005	558,052,835
Approved securities	936,709,010	945,328,844
Average month end deposit liabilities	11,192,422,000	9,101,961,000
Average month end outstanding borrowings	1,254,631,000	1,891,581,000
	12,447,053,000	10,993,542,000
Required minimum amount of liquid assets	1,051,973,984	1,306,643,348
10% of fixed deposits	1,040,174,508	1,177,267,813
15% of savings deposits	11,667,931	11,992,035
10% of unsecured borrowings	131,545	117,383,500
Required minimum amount of approved securities 7.5%	933,528,975	824,515,650

50. FINANCIAL RISK MANAGEMENT (CONTD...)

Management of liquidity risk (Contd...)

Maturity analysis for financial liabilities

Contractual maturity of the assets and the liabilities of the company is disclosed in the note 39 to the financial statements.

To manage the liquidity risk arising from financial liabilities, the company holds liquid assets comprising cash and cash equivalents and investment grade investment securities for which there is an active and liquid market. These assets can be readily sold to meet liquidity requirements.

50.3 Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the company's involvement with financial instruments, including processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. The company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the company's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

Compliance with company standards is periodically reviewed by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the audit committee and senior management of the company.

Capital Management

The company manages its capital base to comply with regulatory capital requirements and to maintain a solid fund base.

CBSL has set minimum capital requirements for the finance companies as discussed below:

Tier 1 Capital, which includes stated capital, perpetual bonds (which are classified as innovative tier 1 securities), retained earnings, translation reserve and non-controlling interests after deductions for goodwill and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and

Tier 2 Capital, which includes qualifying subordinated liabilities, collective impairment allowances (limited to those credit portfolios where the standardized approach is used under Basel II) and the element of the fair value reserve relating to unrealized gains/losses on equity instruments measured at fair value through other comprehensive income.

According to these regulations, the minimum capital requirement under Tier 1 is 6% of the total risk weighted assets and Tier 2 is 10% of the total risk weighted assets.

The company's Capital Adequacy Ratios as at 31 March 2019 were 6.86% and 8.91% for Tier I and Tier II respectively. Company's Tier II ratio is below the statutory requirement which is 10% as per the Capital Adequacy Direction No. 03 of 2018.

The Company is in the process of taking the following measures to address the above short fall in the capital Adequacy Ration(Tier 2).

- 1 The Board of Directors of Orient Finance PLC has resolved to convert the existing 4,000,496 preference shares and accrued interest outstanding as at 31 October 2018 to Ordinary Shares subject to the approval of the preference shareholders of the company.
- 2 The company is also in the process of making a Right Issue to its ordinary shareholders to the value of Rs. 500Mn.

50.4 Market Risk

Market risk is the risk arising from fluctuations in market variables such as interest rates, foreign currencies, equity prices and gold prices. As the company's operations involve granting accommodations, accepting deposits and obtaining funding facilities, the movements in interest rates constitute the most important market risk to the company.

This risk is reviewed periodically by ALCO and Integrated Risk Management Committee.